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March 9, 1998

To: Members of the Executive Board

From: The Secretary

Subject: **Ghana—Request for Second Annual Arrangement Under the Enhanced Structural Adjustment Facility**

Attached for consideration by the Executive Directors is a request from Ghana for the second annual arrangement under the Enhanced Structural Adjustment Facility. A draft decision appears on page 17.

This subject, together with the policy framework paper for Ghana (EBD/98/21, 3/9/98), is tentatively scheduled for discussion on Monday, March 23, 1998.

Mr. Reitmaier (ext. 37443) or Mr. Pellechio (ext. 38687) is available to answer technical or factual questions relating to this paper prior to the Board discussion.

Unless the Documents Preparation Section (ext. 36760) is otherwise notified, the document will be transmitted, in accordance with the procedures approved by the Executive Board and with the appropriate deletions, to the WTO Secretariat on Tuesday, March 17, 1998; and to the African Development Bank (AfDB) and the European Commission (EC), following its consideration by the Executive Board.

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INTERNATIONAL MONETARY FUND

GHANA

**Request for Second Annual Arrangement Under the Enhanced Structural Adjustment Facility**

Prepared by the African Department

(In consultation with the Fiscal Affairs, Legal, Monetary and Exchange Affairs, Policy Development and Review, and Treasurer's Departments)

Approved by Ernesto Hernández-Catá and Joaquín Pujol

March 9, 1998

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## EXECUTIVE SUMMARY

- Ghana's financial performance improved in 1997, reflecting the government's commitment to reducing inflation, imposing fiscal discipline, and pursuing an appropriate course of economic adjustment. In the budget statement for 1998, the Minister of Finance reviewed developments in 1997, citing a significant reduction of inflation and improved budgetary and monetary operations. Following an improved performance in 1997, relative to 1996, Ghana must now stay the course of adjustment necessary for achieving steady economic growth.

- Inflation fell to a 12-month rate of 21 percent at end-December 1997 with the annual average declining from 46 percent to 28 percent. This decline was set in motion in 1996 by more ample food supplies which continued in 1997 and was reinforced by a tightening of financial policies. However, monetary expansion in 1997 was greater than envisaged in the October 1997 consultation report, owing to an unexpected surge in the net foreign assets of the Bank of Ghana near the end of 1997.

- The government's commitment to tight financial policies in 1997 produced some key intended results, in addition to helping reduce inflation. Specifically, the domestic primary balance showed a surplus of 3.3 percent of GDP, which is the highest since the Economic Recovery Program (ERP) was launched in 1983. This was achieved through reductions across all categories of expenditures, and notwithstanding a decline in revenue because of lower collections of petroleum taxes and cocoa export duties. Nonetheless, the tax system was improved through the cutback of tax and customs exemptions.

- Discussions were recently concluded on a program for 1998 that is based on the financial objectives and the structural reform agenda endorsed by the Executive Board during the recent Article IV consultation. Although it has not been possible to fully incorporate this scenario, the proposed program goes substantially in that direction, and the staff welcomes the authorities' strong commitment to pursuing tight financial policies and implementing structural reforms.

- The program for 1998 targets a central government domestic primary surplus of 3.8 percent of GDP, an expansion of broad money by 18 percent, and a US$40 million improvement in the Bank of Ghana's net foreign asset position. These targets are consistent with bringing inflation to 11 percent at year-end 1998 and improving international reserves. Ghana's external position, although helped by tight financial policies, is projected to remain vulnerable in 1998, owing to a further decline in gold prices, large amortization payments, and an increase in imports. The current account deficit (excluding official transfers) should be contained at 7.3 percent of GDP, followed by a gradual narrowing over the next three years. Although gross international reserves will remain low in 1998 at less than 3 months of imports, they are projected to attain this level starting in 2000.

- The program faces considerable risks related to the ability of the government to control the budget deficit. These risks arise, in part, from the difficulties the government has faced in increasing electricity tariffs to levels that would restore financial viability to the power utilities, taking advantage of the decline in international oil prices to halt, let alone reverse, the rapid erosion in real petroleum taxation, mobilizing the needed parliamentary support for the proposed 15 percent VAT rate, and avoiding delays in implementing the new budget and public expenditure management system. In addition, the projected improvements in customs collections based on the recent overhaul in the customs administration and the reductions in zero-rating are uncertain.

- Strict adherence to the government's injunction against nonconcessional borrowing, together with tight financial policies, should bring Ghana's debt indicators below the critical threshold levels in the medium term. Ghana is not expected to seek recourse to conventional debt-relief mechanisms and is therefore not deemed eligible for assistance under the HIPC Initiative.

- Ghana's external financing requirement for 1998-99 is estimated to be about US$1.6 billion. While adequate financing has been identified for 1998, a residual gap of US$108 million has been estimated for 1999 but is likely to be covered by conditional commitments made at the Consultative Group meeting in November 1997.

- In light of the strength of Ghana's program, the importance of the actions already taken, and Ghana's critical need to sustain and extend the favorable financial developments and structural reforms that were achieved in 1997, the staff recommends approval by the Executive Board of the authorities' request for the second annual ESAF arrangement. The staff also recommends approval of the request for a rephasing of access for the remainder of the present three-year ESAF arrangement.

## I. Introduction

1. Discussions with Ghana for the second annual arrangement under the Enhanced Structural Adjustment Facility (ESAF) were initiated in June 1997; however, amidst delays in the implementation of prior actions, completion of the discussions was postponed until after the conclusion of the 1997 Article IV consultation (EBM/97/108; 10/31/97). The staff report for that consultation described the circumstances under which Ghana's request for the second annual ESAF arrangement could be approved (SM/97/259; 10/17/97). Apart from a strong financial performance, the staff had emphasized the importance of (i) the smooth functioning of the system of formula-based petroleum price adjustments; (ii) an orderly preparation for the reintroduction of the value-added tax (VAT); (iii) the effective implementation of measures to reduce customs exemptions and improve customs administration; and (iv) strict adherence to the injunction against nonconcessional external borrowing. In concluding the 1997 Article IV consultation, Executive Directors endorsed these conditions and urged the authorities to "move ahead forcefully in the areas identified by the staff so as to provide the basis for a program that could be supported by the second annual ESAF arrangement."

2. Against this background, the discussions for the second annual ESAF arrangement were concluded in Accra during December 3-10, 1997.[1] As the conditions noted above have been broadly fulfilled, the present report supports the government's request for a new program.[2] Ghana's recent economic performance and record of policy implementation are described in Section II. The government's letter of intent is attached to the proposed arrangement in Appendix I, and the program is presented in Section III. Ghana's relations with the Fund are described in Appendix II, and an external debt Sustainability analysis appears in Appendix III.

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[1]The Ghanaian representatives in the discussions included the Minister of Finance, Mr. Peprah; the Governor of the Bank of Ghana, Dr. Duffuor; other senior government officials; and representatives of the parastatal and private sectors. The Fund staff team consisted of Mr. Reitmaier (head), Mr. Pellechio, Mr. Bulíř, Mr. Mfunwa, Ms. Zanforlin (all AFR), and Mr. Kanai (PDR). The staff team was assisted by Mr. Harnack, the Fund's resident representative in Ghana, and collaborated closely with staff from the World Bank. Mr. Mirakhor, Executive Director for Ghana, participated in the policy discussions.

[2]Ghana's (second) three-year ESAF arrangement and the first annual arrangement thereunder were approved on June 30, 1995, in amounts equivalent to 60 percent and 20 percent of quota, respectively. The authorities' present request for the second annual arrangement is accompanied by requests for (i) an extension of the commitment period and (ii) a rephasing of the remaining access. Specifically, the authorities are requesting that access for the second annual arrangement be raised to the equivalent of 30 percent of quota, implicitly reducing access for the third annual arrangement to 10 percent of quota. The staff supports these requests. The impact on Ghana's Fund position during the period of the ESAF arrangement is shown in Table 1.

3. Pointing to the expected decline in exports in 1997 and Ghana's continued balance of payments need, the authorities indicated in the discussions that they might request compensatory financing under the Compensatory and Contingency Financing Facility (CCFF), if final export data for 1997 confirmed a compensable shortfall.

## II. Recent Developments

4. In presenting the government budget for 1998 on February 17, the Minister of Finance took stock of developments in 1997, pointing in particular to continued economic growth, substantial improvements in budgetary and monetary operations, and a marked reduction of inflation.

5. **Real GDP growth in 1997** is reported in the budget statement at 5.1 percent, almost unchanged from 1996, with growth in services (6.2 percent) and industry (5.7 percent) outpacing that in agricultural output (3.3 percent). Government consumption and total investment are reported to have declined relative to GDP, while private consumption and the foreign balance increased relative to GDP. In the discussions, the staff questioned the plausibility of the official growth estimate for 1997, arguing that, on the production side, it depended on unrealistic growth rates for cocoa output, construction, and government services, quite apart from using outdated (1975) sectoral weights. On the demand side, the official growth estimate required an implausibly strong growth in real private consumption (10 percent) in the face of a likely decline in real wages. Attempting to correct for these factors, the staff has tentatively estimated real GDP growth in 1997 at about 3 percent. In this context, the authorities' commitment under the program to publish before the midterm review revised national accounts for 1995-96 is particularly welcome.

6. **The slowdown in inflation that started in 1996 continued in 1997**, with the annual average rate falling from 46 percent to 28 percent (Figure 1 and Table 2). The 12-month rate recorded for December 1997 was 21 percent. The decline in inflation was set in motion in 1996 by more ample food supplies and reinforced in 1997 by a tightening of financial policies.

7. **The domestic primary surplus in 1997 reached 3.3 percent of GDP**, the highest since the Economic Recovery Program was launched in 1983, and up from 0.3 percent in 1996 (Figure 2 and Tables 3 and 4). The fiscal adjustment in 1997, which helped halt the rising trend in the government debt-GDP ratio, was achieved entirely through expenditure restraint. **Domestic noninterest spending fell by 4.6 percentage points of GDP** as a result of reductions across all expenditure categories. Reflecting a stringent wage policy, the wage bill declined by about 0.5 percent of GDP, while subventions and transfers, a significant part of which are wage related, dropped by about 1 percent of GDP. Spending on goods and services and domestically financed capital projects also fell relative to GDP because of the nonrecurrence of unprogrammed expenses from 1996.

8. **Revenue fell by 1.6 percentage points of GDP in 1997**, mainly on account of lower collections of petroleum taxes, reflecting the erosion of specific duties by inflation, and cocoa export duties, resulting primarily from a decrease in the volume of exports. Collection of indirect taxes declined with the overall growth rate of the economy.

9. The government continued to implement its **program of tax reform**, with the objective of increasing the efficiency and buoyancy of the tax system. Specifically, based on a review of the legal basis of customs exemptions, the government withdrew unjustified exemptions and vested in the Ministry of Finance sole authority to solicit the mandatory approval of parliament for granting any tax and customs exemptions. Monitoring of customs exemptions in general was strengthened, and abuse of duty-free imports under public and donor-funded projects substantially reduced. These actions, together with the cutback of tax and customs exemptions, significantly improved collections of duties and sales tax on imported goods in the latter months of 1997, and contributed to raising the effective import duty rate from 7.1 percent in 1996 to nearly 8 percent by end-1997.

10. **Monetary expansion in 1997 was more rapid than envisaged** in the October 1997 consultation report, driven by an unexpected surge in the net foreign assets of the Bank of Ghana towards end-1997 and by a rapid expansion of domestic credit to both the government and the private sector (Figure 3 and Table 6). During December, the Bank of Ghana's net foreign asset position improved much more than expected, owing to higher cocoa prefinancing, earlier-than-expected aid disbursements, and a technical delay in one debt payment. Reserve money, adjusted for a shortfall in required reserves at the end of the year, grew by 37 percent during 1997, well in excess of the 29 percent expected earlier. The strong growth in reserve money—in particular currency in circulation—and the temporary noncompliance with required reserves are explained mainly by the larger-than-anticipated size, and earlier collection, of the cocoa crop.[3]

11. Ghana's **external current account deficit** (excluding official transfers) narrowed from 8.3 percent of GDP in 1996 to 6.4 percent of GDP in 1997, reflecting the tightening of financial policies and the probable slowdown in economic activity. However, the capital account in 1997 was marked by large amortization payments, and the overall balance of payments improved only moderately to a surplus of US$25 million (0.4 percent of GDP); meanwhile, gross international reserves fell below three months of imports (Table 7).

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[3]The unanticipated variation in the size and timing of the cocoa crop led to a mismatch between the flow of foreign financing arranged by the Cocoa Board and the Board's cash requirements for purchasing the crop. As banks stepped in with overdraft facilities for the Cocoa Board, the Bank of Ghana tolerated a temporary shortfall in required reserves. Thus, the effective reserve ratio at end-December 1997 was 6.7 percent, compared with the legally required rate of 8 percent. The authorities confirmed that, by end-February 1998, banks were again in compliance with legal reserve requirements.

12. **The government intensified its structural reform efforts in 1997**. Incentives for cocoa farmers were improved through an increase in the share of the f.o.b. price of cocoa that accrues to farmers from 51 percent in the 1996/97 (October–September) crop year to 54 percent in the present crop year. Moreover, a further opening of domestic cocoa marketing was announced. Important reforms were also undertaken in the energy sector. The system of automatic price adjustments for petroleum products was reinstated with the adoption of a new exrefinery pricing formula. As part of this formula, an ad valorem excise tax of 15 percent was recently added to the specific excises on petroleum products. In August 1997, the Ghana National Petroleum Corporation (GNPC) began to repay its long-standing debt to the Bank of Ghana. The government also withdrew its commitment to guarantee any nonconcessional borrowing by GNPC for the intended Tano Field Development and Power Project, and these projects will now proceed only if significant private equity participation is secured.

13. In September 1997, following the suspension of a tripling in **electricity tariffs**, the government created an independent Public Utilities Regulatory Commission. After extensive public hearings, the commission recommended a more modest increase in two steps (February and September 1998). The February increase, which is equivalent to 89 percent in terms of the weighted average tariff, took effect, while the adequacy of the proposed September increase of 10 percent is under review.

14. **The government's privatization program progressed in 1997**, even though divestiture proceeds accruing to the budget remained short of the targeted amount. The government, in close collaboration with the World Bank, divested more than 20 small and medium-sized enterprises, but divestiture of some large enterprises has been slower than anticipated. After the flotation of 42 percent of the shares of the Ghana Commercial Bank (GCB) to the public, the sale of 30 percent to a strategic investor remains to be completed.

## III. THE PROGRAM FOR 1998

### A. Medium-Term Context

15. The government's overall objective is to secure a **stable macroeconomic environment that supports economic growth led by the private sector**, thereby creating jobs, increasing incomes, and reducing poverty. To that end, the authorities intend to achieve monetary growth rates consistent with low inflation and domestic primary surpluses in the range of 4 percent of GDP. These policies are expected to encourage private investment and improve the external current account. Real GDP is projected to grow by at least 5.5 percent, or 2.5 percent on a per capita basis.

Ghana: Macroeconomic and Financial Situation and Objectives

| | 1995 | 1996 | 1997 | 1998 Program | 1999 Projection | 2000 Projection |
|---|---|---|---|---|---|---|
| | | | (Percent change) | | | |
| Real GDP | 4.5 | 5.2 | 3.0 | 5.6 | 5.8 | 5.8 |
| Consumer prices (end of period) | 70.8 | 32.7 | 20.8 | 11.0 | 5.5 | 5.0 |
| Broad money (end of period) | 40.8 | 39.7 | 40.8 | 18.0 | 12.0 | 11.0 |
| | | | (In percent of GDP, unless otherwise indicated) | | | |
| Overall budget balance | -6.7 | -10.4 | -8.6 | -6.3 | -4.0 | -3.4 |
| Domestic primary budget balance | 1.6 | 0.3 | 3.3 | 3.8 | 3.8 | 3.9 |
| External current account balance[1] | -6.5 | -8.3 | -6.4 | -7.3 | -6.6 | -5.4 |
| Gross official reserves (in months of imports) | 4.6 | 3.4 | 2.8 | 2.7 | 2.9 | 3.1 |
| Gross investment | 18.6 | 18.6 | 16.0 | 17.9 | 18.1 | 19.5 |
| Government | 14.5 | 13.6 | 10.6 | 12.4 | 10.6 | 11.5 |
| Private | 4.1 | 5.0 | 5.4 | 5.5 | 7.5 | 8.0 |
| Gross national savings | 16.3 | 13.6 | 12.7 | 13.7 | 14.3 | 15.8 |
| Government | 6.9 | 4.3 | 2.0 | 5.4 | 6.6 | 7.7 |
| Private | 9.4 | 9.3 | 10.7 | 8.3 | 7.6 | 8.1 |

Sources: Ghanaian authorities; and Fund staff estimates and projections.
[1] Excluding official transfers.

16. In addition to fostering a stable, low-inflation macroeconomic environment, the government will pursue **structural reforms** to enhance incentives for saving, encourage private investment, and improve resource allocation. In this context, the government will further deregulate the petroleum and cocoa sectors, aggressively pursue its divestiture program, liberalize the financial sector, and reform the public service which encompasses the regular civil service and the autonomous government agencies (subvented agencies).

## B. Financial Policies

17. The 1998 budget strengthens the **fiscal adjustment** effort launched in 1997. The budget projects an **increase in tax revenue of about 1 percent of GDP**, driven in part by a 0.3 percent of GDP increase in sales tax revenue. An important element in this projection is the introduction of the VAT with effect from December 1, 1998.[4] The draft VAT law was first tabled in Parliament in July 1997, featuring the following important and desirable aspects: a single positive rate (15 percent); broad coverage and limited exemptions; zero-rating limited to exports; a refund system restricted to exporters and taxpayers who have carried forward

[4]The delay in the introduction of the VAT, as compared with the originally expected date of September 1, was caused by late passage of the VAT law by parliament and the need to allow sufficient time for preparation and public education.

excess credits for six months; an appropriate threshold; and sound administrative features. The VAT law was finally adopted on February 17, 1998, but with some changes that are problematic. First, the tax rate was set at 10 percent, instead of the 15 percent proposed by the government; this compares with VAT rates in neighboring countries in the 17-20 percent range. Second, the refund system was extended to taxpayers carrying forward credits for only three months. This has the potential for substantially increasing the number of claims for refunds, thus straining the capacity of the tax administration to administer refunds properly and inviting abuse of the refund system. Strong consideration will have to be given to restoring the originally proposed refund system.

18. In response to the implied revenue loss, the government, reflecting its commitment to fiscal discipline, intends to implement compensatory revenue measures. However, given the opposition to the proposed VAT rate, it may be unrealistic to expect that fully compensatory measures can be imposed immediately. In light of this situation, sales tax revenue is projected to be 3.2 percent of GDP in 1998, about 0.2 percent lower than projected in the government's budget. As a consequence, **the projected domestic primary surplus is 3.8 percent of GDP**, rather than 4 percent as shown in the budget, compared with 3.3 percent of GDP in 1997 (Tables 3-5). The domestic borrowing requirement is projected to remain high, at about 3 percent of GDP, owing to the high amortization of external debt.

19. **In 1998, the government will intensify its efforts to reform the tax system.** Following passage of the VAT law, the government is stepping up the public information campaign launched in November 1997 to enhance public acceptance, and it plans to issue regulations for the VAT and complete the assignment of taxpayer identification numbers by the middle of the year. As part of a tariff rationalization in a regional context, the government introduced jointly with the 1998 budget legislation to shift a number of previously zero-rated items to higher tariff rates. In this context, it proved necessary to introduce a new tariff rate of 5 percent, in addition to the existing rates of 10 percent and 25 percent. As a result, and following last year's cutbacks in customs exemptions, the effective import duty rate is expected to rise further to 8.6 percent. Along with the expected rebound in imports and cocoa exports, trade tax collections are projected to rise by 0.6 percent of GDP. In order to strengthen the administration of all taxes, a central revenue authority will be established by the middle of the year. A specific task of this new central authority will be to ensure smooth implementation of the VAT by the intended effective date of December 1, 1998.

20. Although tax reform is expected to improve the tax system, projected tax revenue in 1998 is lower than was targeted in the October 1997 consultation report by over 1 percent of GDP, largely because **petroleum tax collections will likely be substantially lower**. Despite the mission's insistence that the long-term erosion of petroleum taxes—from 4.1 percent of GDP in 1993–94 to 2.1 percent in 1998—needed to be reversed, the authorities held that it was politically impossible to raise petroleum duties at a time when a substantial increase in electricity tariffs was being prepared and the VAT was about to be reintroduced. The staff maintained that an increase in petroleum duties should not be excluded, even for the near term,

all the more so as the lower-than-expected VAT rate called for compensatory revenue measures. Another reason for the shortfall in tax revenue in 1998 is the less depreciated exchange rate, which will lower the collections of sales tax from imported goods and cocoa export duties.

21. **A moderate rise of 0.3 percent of GDP is projected for total expenditure**, the net result of a recovery in capital spending (1 percent of GDP) and a decline in domestic interest payments (0.9 percent of GDP). The latter is a result of projected declines in domestic debt and in the treasury bill rate. Noninterest recurrent expenditure remains stable at 10.4 percent of GDP reflecting a slight decline in wage payments and an increase in spending on goods and services related to health and education.

22. During 1997, the government embarked on a **comprehensive overhaul of its expenditure monitoring and control system** with assistance from the World Bank and other donors. However, after the 1997 Article IV discussion was concluded, the World Bank determined that the timetable for implementation of the new budget and public expenditure management system (BPEMS) was not tenable and that its introduction on a pilot basis would be delayed by one year.[5] This delay has focused efforts in 1998 on the implementation of procedures to improve the government's cash management. In addition, a medium-term expenditure framework will be completed in mid-1998 that focuses on the priority sectors of education, health, and roads.

23. **Monetary policy will continue to target a reduction in inflation through control of the money supply.** Specifically, growth in reserve money during 1998 will be limited to 17 percent, consistent with the end-year and average inflation rates of 11 percent and 16 percent, respectively (Figure 3 and Table 6). The recent rapid expansion in demand for private sector credit will be curbed, in part owing to high real lending rates. The exchange rate will be determined by market forces, as the Bank of Ghana will limit its intervention to smoothing short-term fluctuations, while meeting the program target for net foreign assets. To enhance the effectiveness of monetary management, the Bank of Ghana, with Fund technical assistance, will improve the functioning of primary and secondary markets of treasury bills, notably by introducing a centralized book-entry system.[6] After appropriate preparations, the instruments of liquidity management will be expanded to include repurchase agreements initiated by the Bank of Ghana.

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[5]As a first step, the government finalized the design of the BPEMS. In December 1997, the government issued an invitation for international bids for the procurement of BPEMS software.

[6]At present, the BOG is studying various options of establishing a book-entry system. It is expected that a formal request for technical assistance from MAE will be made in the very near future.

24. **Fallout from the massive check fraud discovered at the beginning of 1997 has been held under control**, and the directors of the private company involved as well as conspiring bank officials are being prosecuted. However, the Bank of Ghana's emergency liquidity support to the affected deposit money banks is being repaid more slowly than expected—the outstanding claims are likely to be fully repaid only by end-1998.

25. Conscious of the importance of a sound banking system, **the Bank of Ghana will continue to strengthen its banking supervision**, drawing on technical assistance from several donors, including the Fund. In 1997, the Bank of Ghana expanded the staff and powers of its banking supervision department, drawing on donor-funded supervision experts. These improvements should result in a higher frequency of on-site and off-site inspections and better information on banks' deposit and lending operations.

### C. Sectoral Reforms and Policies

26. **The government intends to deregulate further the petroleum and cocoa sectors,** divest more of its interests in these and other sectors, and enhance the efficiency of its own operations. The GNPC's non-oil-related assets will be offered for sale by end-March 1998, to be followed by the Tema Oil Refinery Ltd. and the Ghana Oil Company Ltd. by end-June 1998. The petroleum pricing formula will be routinely employed, and uniform national pump prices for petroleum products will be replaced by uniform ex regional depot wholesale prices.

27. **The recent electricity tariff increases were only a first step** toward achieving economic rates, and will still result in operating deficits for the power utilities in 1998. The government has therefore agreed to propose to the Public Utilities Regulatory Commission by July 1998 a schedule of tariff increases that move to full economic rates by end-1999. As part of this schedule, the government will request the commission to consider an increase of at least 35 percent in the average electricity tariff to take effect by end-September 1998, instead of the 10 percent already recommended by the commission. Further, the government will develop a plan for eliminating pre-1998 arrears among the power utilities, and between them and the government, by the end of 1999. In view of the importance of these commitments, the staff, in close collaboration with World Bank staff, will monitor their implementation closely and assess progress at the time of the midterm review.

28. Cocoa farmers are presently receiving 54 percent of the international price, and their share is set to increase to 56 percent for the next crop year starting in October 1998. The **increase in the producer price of cocoa** will be accompanied by the privatization of domestic marketing and by additional cost-cutting measures at the Cocoa Board. Thus, by end-June 1998, the Produce Buying Company, a subsidiary of the Cocoa Board, will be offered for sale, and the extension services of the Ministry of Agriculture and the Cocoa Board will be unified. Once the privatization of domestic marketing is completed, the government will reassess options for eliminating the Cocoa Board's export monopoly.

29. During 1998, the government will proceed with the **divestiture of at least two large enterprises** and an additional twenty small and medium-sized enterprises, with estimated

divestiture proceeds of about US$60 million. Financial sector reforms will continue with the divestiture of the National Investment Bank, the State Insurance Corporation, and the Reinsurance Corporation. Meanwhile, negotiations with a strategic investor on the privatization of the Ghana Commercial Bank (GCB) have stalled, in part, over the modalities of transferring ownership of a foreign branch of the GCB.

30. The government announced in the budget for 1998 its intention to **rationalize the regulatory regime of the more than 150 subvented agencies**. A detailed plan will be elaborated by end-June and will include the reorganization of the subvented agencies; a rationalization of their employment and pay policies; and a determination of those agencies that will be reincorporated into the budget, closed down, or privatized. In the 1998 budget statement, the government presented steps being taken to **rationalize the job and salary structure for the civil service**. The government will take final decisions and initiate reforms based on the input of stakeholders. The expectation is that the needed improvement in relative salaries to attract and retain skilled staff will be offset by reductions in staff size, stabilizing the overall wage bill relative to GDP after 1998.

### D. External Sector Policies and Financing Requirements

31. **Ghana's external situation is projected to remain vulnerable in 1998**, as a further decline in gold prices, large amortization payments, and an increase in imports will be offset only in part by an expected recovery in the volume and international price of cocoa exports. However, with the help of tight financial policies, the foreign balance can be improved over the medium term. The current account deficit (excluding official transfers) is projected to rise to 7.3 percent of GDP in 1998, followed by a gradual narrowing over the next three years. Gross international reserves will remain low in 1998—at less than three months of imports—but, starting in 2000, they are projected to exceed the equivalent of three months of imports (Table 7). In light of the overall strength of the proposed adjustment program, the importance of the actions already taken, and the continued low level of reserves, the staff supports the authorities' request for a rephasing of access under the ESAF arrangement, which should increase access under the second annual arrangement from 20 percent to 30 percent of quota.

32. Ghana's total **external financing requirement** during 1998-99 is estimated at about US$1.6 billion (Table 8). While adequate financing has been identified for 1998, a residual gap of US$108 million has been estimated for 1999, but is likely to be covered by commitments made by donors at the Consultative Group meeting in November 1997 that are conditional on satisfactory performance under the program.

33. The excessive nonconcessional borrowing in 1996 and early 1997 significantly raised the debt-service burden in 1997 and beyond (Table 9). Nevertheless, if no further public or publicly guaranteed external borrowing is undertaken on nonconcessional terms—as is the government's announced policy—**Ghana should experience no difficulties in meeting its debt service obligations**. In 1997, Ghana concluded bilateral agreements with two Paris Club creditors (Italy and Norway) for the rescheduling of certain pre-1983 debts, leaving only the agreement with Brazil outstanding.

34. Ghana is one of the heavily indebted poor countries (HIPC). An **updated debt sustainability analysis**, prepared in collaboration with the World Bank staff and the authorities, confirms that Ghana's external debt burden, without rescheduling, is sustainable over the medium term (Appendix III). The assessment shows that the ratio of net present value of debt to exports and the debt-service ratio will fall below the threshold levels of 200 percent and 20 percent, respectively, over the next few years.[7] Thus, Ghana does not seem to require assistance under the HIPC Initiative.

### E. Program Monitoring

35. Implementation of the program will be monitored through quantitative benchmarks and performance criteria for end-March and end-June 1998, respectively, as well as through indicative quantitative benchmarks for end-September and end-December 1998 (see Table 1 of the government's memorandum of economic and financial policies, attached to the proposed ESAF arrangement in Appendix I). Definitive quantitative benchmarks for the latter dates will be set at the time of the midterm review. Structural performance criteria and benchmarks have also been defined and are shown in Table 2 of the attached memorandum of economic and financial policies. The implementation of the program, as well as Ghana's economic performance in light of the program objectives, will be the subject of a midterm review by the Fund under the second annual ESAF arrangement to be held by end-September 1998. The observance of the performance criteria and the completion of the review will be conditions for the disbursement of the second loan under the second annual arrangement. To facilitate the implementation and monitoring of the program, an implementation committee, chaired by the Governor of the Bank of Ghana and comprising the interested government departments, has been established.

## IV. Staff Appraisal

36. The 1997 Article IV consultation was concluded in October 1997, after discussions on a program that could be supported under Ghana's current three-year ESAF arrangement were postponed. However, the Executive Board, encouraged by the policy actions taken to stabilize the macroeconomic situation and preliminary indications of substantial improvement in fiscal performance in September 1997, endorsed the resumption of program discussions, guided by the program scenario presented in the staff report for the 1997 Article IV consultation. Although it has not been possible to fully incorporate this scenario, the proposed program goes substantially in that direction, and the staff welcomes the authorities' commitment to pursuing tight financial policies and implementing structural reforms.

[7]The ratio to government revenue of Ghana's external debt service, including payments to the Fund, is projected to increase to 48 percent in 1998 because of the large nonconcessional borrowing at the beginning of 1997. However, it is expected to rapidly decline to a level below 35 percent by the year 2000 (Table 2).

37. The fiscal adjustment envisaged for 1998, as evidenced by the targeted domestic primary budget surplus of close to 4 percent of GDP, should permit an actual reduction in domestic debt relative to GDP. It will thus facilitate the pursuit of a tight monetary policy as the centerpiece of the government's fight against inflation. In this context, the staff strongly endorses the government's aim to cut inflation in half over the span of a year and reach single-digit rates by 1999. At the same time, it urges the authorities to make any action to lower interest rates conditional upon an abatement of inflationary expectations.

38. Aware of the consequences of prolonged imbalances, the authorities are fully committed to implementing their program as described in the memorandum of economic and financial policies, and they consider the actions taken so far and those planned in 1998 sufficient to achieve the desired results. The staff shares this general view, but it considers that important risks remain against which the authorities need to be vigilant.

39. In particular, risks still attach to the ability to control the budget deficit. Wage demands in 1998 may not be contained as successfully as in 1996-97, and the reintroduction of the VAT could run into problems, especially if marred, as in 1995, by faulty implementation or public resistance. Also, the recent overhaul in the customs administration, including the changes in top management, the rotation of personnel, and the reduction of exemptions and zero-rating, may not, or not yet, deliver the desired improvement in customs collections.

40. The staff is also concerned about the government's decision in recent months to back away from several urgently needed decisions. Thus, a substantial—because long-delayed—increase in electricity tariffs was withdrawn, only to be replaced after months of further delay by an increase that fails to restore financial viability to the power utilities. Furthermore, the decline in international oil prices was not used to halt, let alone reverse, the rapid erosion in the real value of the excise tax on petroleum products. Finally, despite the ruling party's strong parliamentary majority, the government was unable to muster the necessary support for the proposed VAT rate of 15 percent; instead, a 10 percent rate was voted, out of line with neighboring countries and foreshadowing revenue problems in 1999 and beyond. Although capable of winning broad support in the short run, these outcomes raise doubts about macroeconomic stability in the longer run. The staff urges the authorities to find lasting solutions to these problems and to protect the overall stance of fiscal policy from any adverse impact. Specifically, the authorities should be prepared in the context of the 1999 budget to increase petroleum taxes and possibly the VAT rate, especially if 1998 revenue falls short of program targets.

41. The staff regrets the delay in mounting the new budget and public expenditure management system (BPEMS) and hopes that the government, in collaboration with the World Bank, will undertake all necessary efforts to make the system fully operational by the year 2000, and to control expenditures effectively in the interim. Great importance attaches in this context to the control of the government wage bill, the reduction in the size of the civil service, and the reform of the autonomous government agencies that is to be launched under the proposed program.

42. The staff welcomes the new momentum in the government's structural reform effort that became evident in 1997. The decision to fully privatize the domestic marketing of cocoa and to streamline agricultural extension services in 1998 is an important step, in line with comparable reforms in neighboring countries. Against this same background, the staff welcomes the authorities' intention to reassess the options for eliminating the Cocoa Board's export monopoly.

43. The staff also welcomes the progressive liberalization of petroleum pricing and marketing, notwithstanding its reservations from a budgetary perspective about the declining level of petroleum taxation. The complete repayment of the Ghana National Petroleum Corporation's debt to the Bank of Ghana and the offer for sale of its non-oil-related assets are important aspects of the proposed program, closing on a heavy legacy from the past. Finally, the government's continued privatization effort will be spearheaded by the offer for sale of the refinery and a petroleum marketing company. It will be important to keep the momentum on these initiatives.

44. The Bank of Ghana's efforts to strengthen bank supervision are encouraging. The staff hopes that Fund technical assistance in this area and in support of the modernization of the Bank of Ghana's liquidity management will be effective and help to improve control over the growth of monetary aggregates.

45. The deterioration in Ghana's debt indicators since the last debt sustainability analysis—which was aggravated by excessive nonconcessional borrowing in 1996 and early 1997—is a cause for concern. Strict adherence to the government injunction against nonconcessional borrowing, coupled with the pursuit of tight financial policies, should nevertheless bring Ghana's debt indicators to sustainable levels within the medium term. As a result, Ghana does not seem to require assistance under the HIPC Initiative.

46. In light of the overall strength of the proposed adjustment program and the importance of the actions already taken, the staff recommends approval by the Executive Board of the authorities' requests for the second annual ESAF arrangement and for the extension of the three-year commitment period. The staff also recommends approval of the request for a rephasing of access for the remainder of the present three-year ESAF arrangement.

## V. Proposed Decision

The following draft decision is proposed for adoption by the Executive Board:

### Enhanced Structural Adjustment Facility - Second Annual Arrangement

The government of Ghana has requested (i) the second annual arrangement under the Enhanced Structural Adjustment Facility (ESAF); (ii) that the amount for that second annual ESAF arrangement be increased to the equivalent of SDR 82.2 million through a rephasing of the remaining committed amounts under the three-year arrangements; and (iii) the extension of the commitment period of the three-year arrangement.

Accordingly:

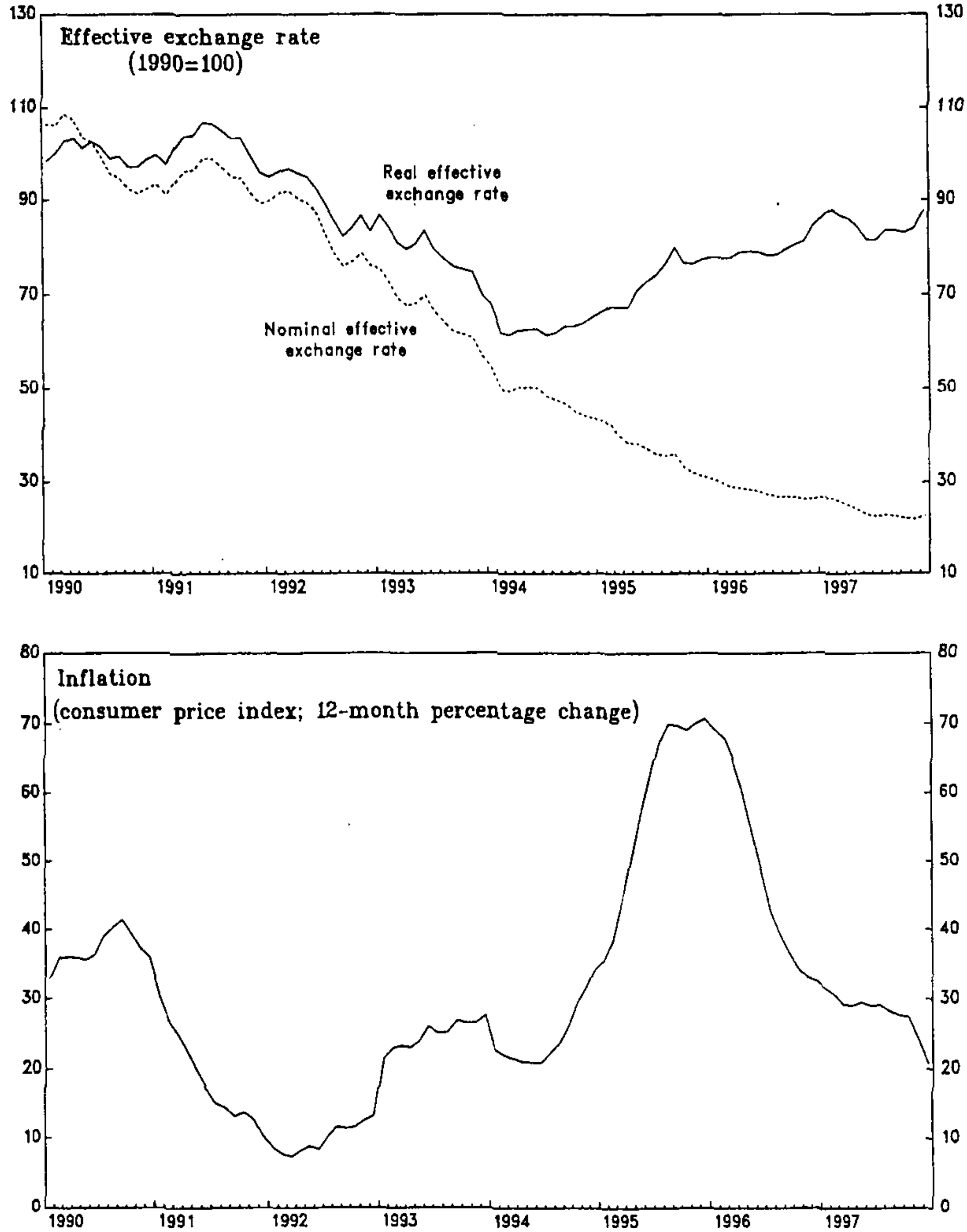
1. Paragraph 1 (b) of the three-year ESAF arrangement for Ghana is amended by increasing the amount for the second annual arrangement to the equivalent of SDR 82.2 million and decreasing the amount for the third annual arrangement to the equivalent of SDR 27.4 million.

2. The Fund has appraised the progress of Ghana in implementing economic policies and achieving the objectives under the program supported by the first annual arrangement, and notes the updated policy framework paper set forth in EBD/98/21.

3. The Fund approves the second annual arrangement set forth in EBS/98/46.

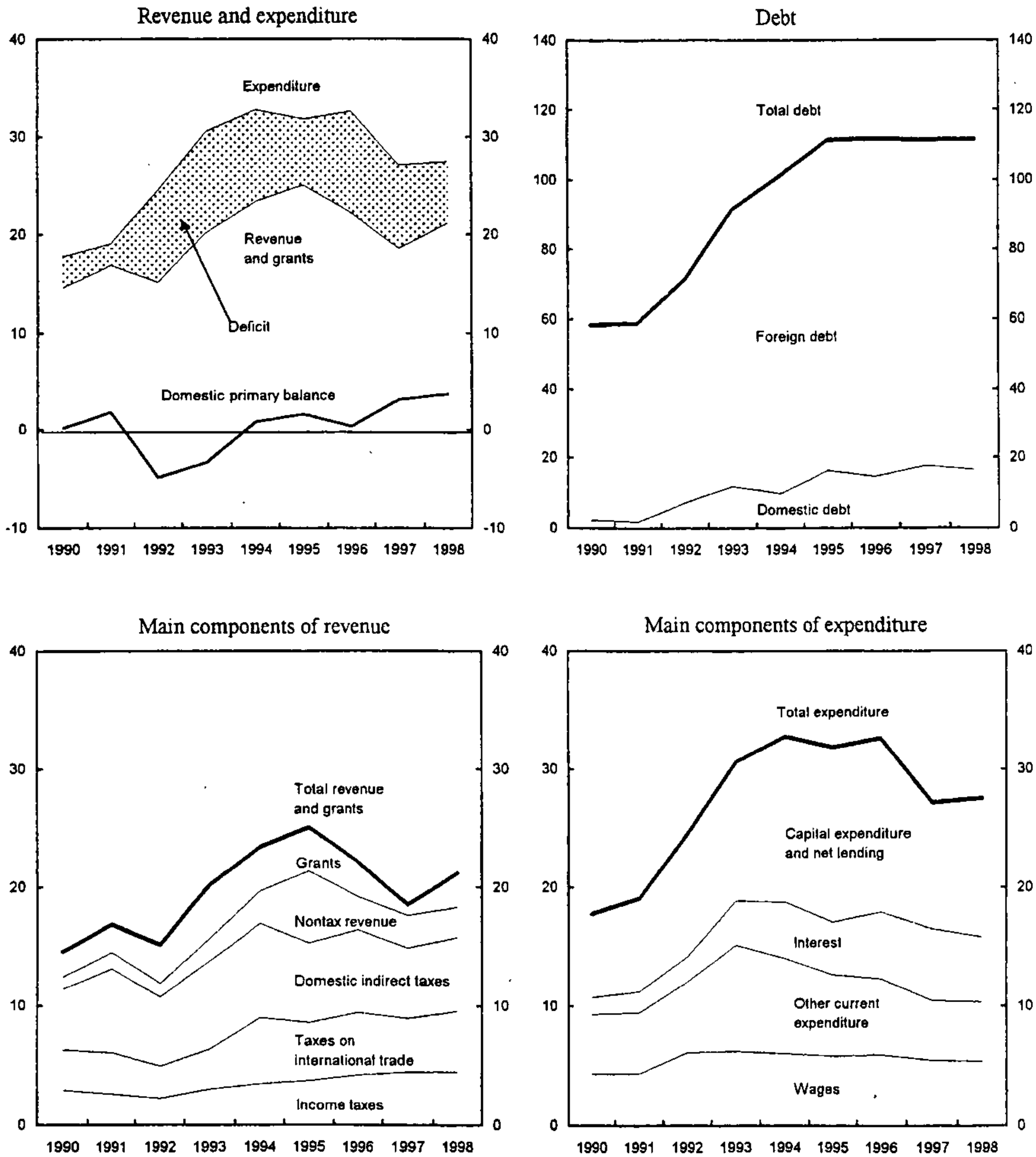
4. The commitment period of the three-year arrangement for Ghana (EBS/95/76; Supplement 1) is extended to June 29, 1999.

Figure 1. Ghana: Effective Exchange Rate and Inflation, January 1990-December 1997



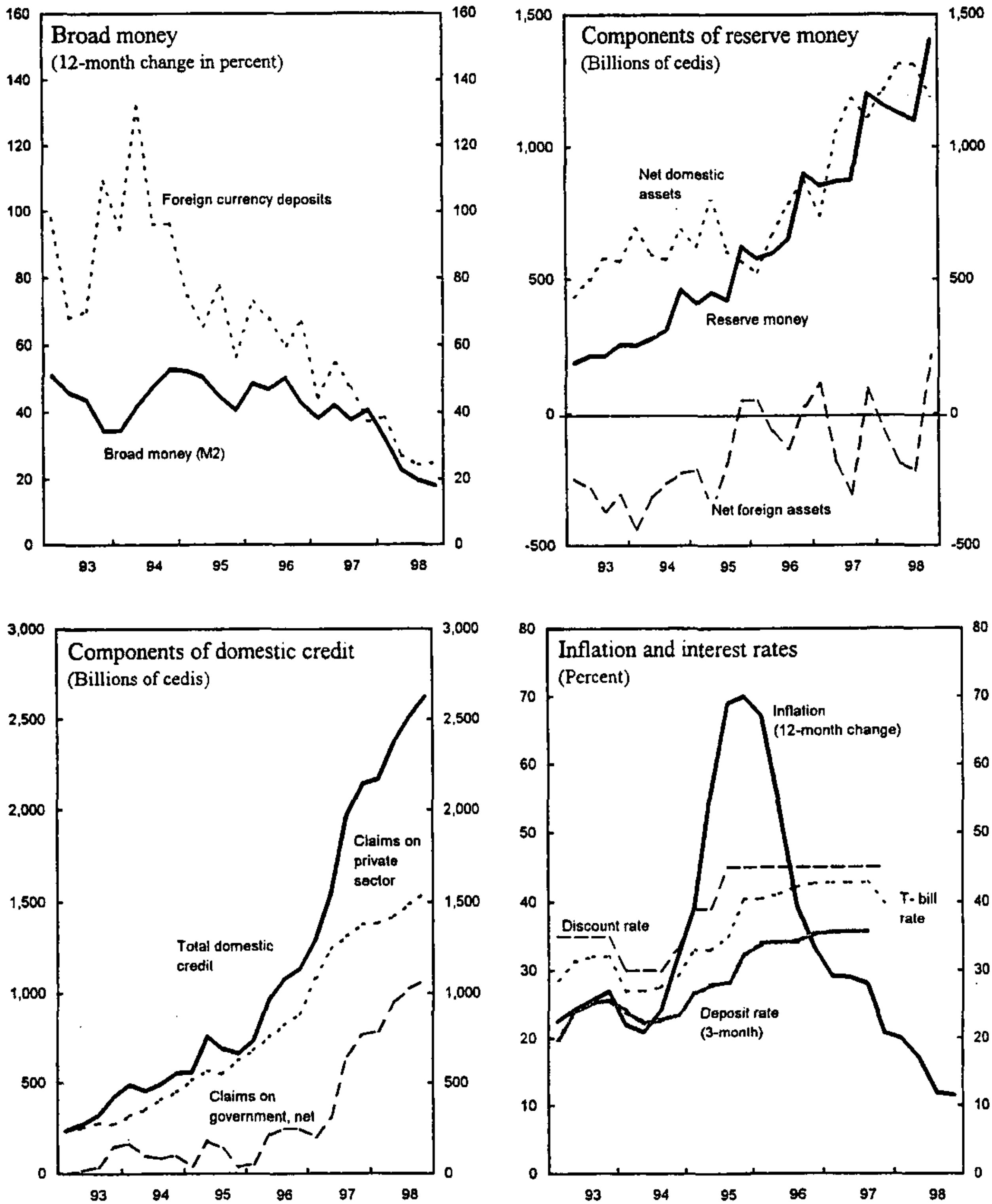

Sources: Ghanaian authorities; and Fund staff estimates.

Figure 2. Ghana: Central Government Finances, 1990-98
(In percent of GDP)




Sources: Ghanaian authorities; and Fund staff estimates and projections.

Figure 3. Ghana: Monetary Indicators, 1993-98




Sources: Ghanaian authorities; and Fund staff estimates and projections.

Table 1. Ghana. Fund Position During the Period of the ESAF Arrangement

| | 1995 | | 1996 | | | | 1997 | | | | 1998 | | | | 1999 | | | |
|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|
| | July-Sep | Oct.-Dec | Jan.-Mar. | Apr.-June | July-Sep | Oct.-Dec | Jan.-Mar | Apr.-June | July-Sep | Oct.-Dec | Jan.-Mar. | Apr.-June | July-Sep. | Oct.-Dec | Jan.-Mar. | Apr.-June | July-Sep. | Oct.-Dec. |
| | | | | | | | | | (In millions of SDRs) | | | | | | | | | |
| Total transactions (net) | 25.32 | -34.70 | -2.08 | -7.30 | -8.93 | -40.58 | -14.80 | -45.38 | -14.80 | -45.38 | 26.30 | -40.66 | 26.30 | -32.01 | 6.86 | -23.38 | 6.85 | -18.30 |
| Purchases/disbursements | 27.40 | 0.00 | 0.00 | 27.40 | 0.00 | 0.00 | 0.00 | 0.00 | 0.00 | 0.00 | 41.10 | 0.00 | 41.10 | 0.00 | 13.70 | 0.00 | 13.70 | 0.00 |
| Tranche policies | 0.00 | 0.00 | 0.00 | 0.00 | 0.00 | 0.00 | 0.00 | 0.00 | 0.00 | 0.00 | 0.00 | 0.00 | 0.00 | 0.00 | 0.00 | 0.00 | 0.00 | 0.00 |
| CCFF | 0.00 | 0.00 | 0.00 | 0.00 | 0.00 | 0.00 | 0.00 | 0.00 | 0.00 | 0.00 | 0.00 | 0.00 | 0.00 | 0.00 | 0.00 | 0.00 | 0.00 | 0.00 |
| SAF | 0.00 | 0.00 | 0.00 | 0.00 | 0.00 | 0.00 | 0.00 | 0.00 | 0.00 | 0.00 | 0.00 | 0.00 | 0.00 | 0.00 | 0.00 | 0.00 | 0.00 | 0.00 |
| ESAF | 27.40 | 0.00 | 0.00 | 27.40 | 0.00 | 0.00 | 0.00 | 0.00 | 0.00 | 0.00 | 41.10 | 0.00 | 41.10 | 0.00 | 13.70 | 0.00 | 13.70 | 0.00 |
| Repurchases/repayments | 2.08 | 34.70 | 2.08 | 34.70 | 8.93 | 40.58 | 14.80 | 45.38 | 14.80 | 45.38 | 14.80 | 40.66 | 14.80 | 32.01 | 6.85 | 23.38 | 6.85 | 18.30 |
| Tranche policies | 2.08 | 3.40 | 2.08 | 3.40 | 2.08 | 3.40 | 2.08 | 3.40 | 2.08 | 3.40 | 2.08 | 2.78 | 2.08 | 0.00 | 0.00 | 0.00 | 0.00 | 0.00 |
| CCFF | 0.00 | 0.00 | 0.00 | 0.00 | 0.00 | 5.88 | 5.88 | 5.88 | 5.88 | 5.88 | 5.88 | 5.88 | 5.88 | 0.00 | 0.00 | 0.00 | 0.00 | 0.00 |
| SAF | 0.00 | 14.32 | 0.00 | 14.32 | 0.00 | 14.32 | 0.00 | 14.32 | 0.00 | 14.32 | 0.00 | 10.23 | 0.00 | 10.23 | 0.00 | 7.16 | 0.00 | 4.1 |
| ESAF | 0.00 | 16.99 | 0.00 | 16.99 | 6.85 | 16.99 | 6.85 | 21.79 | 6.85 | 21.79 | 6.85 | 21.79 | 6.85 | 21.79 | 6.85 | 16.22 | 6.85 | 14.2 |
| Total Fund credit outstanding (end of period) | 470.95 | 436.24 | 434.16 | 426.86 | 417.93 | 377.35 | 362.54 | 317.17 | 302.36 | 256.98 | 283.28 | 242.62 | 268.91 | 236.90 | 243.76 | 220.38 | 202.08 | 183.78 |
| Under tranche policies | 32.30 | 28.89 | 26.81 | 23.41 | 21.32 | 17.92 | 15.83 | 12.43 | 10.35 | 6.94 | 4.86 | 2.08 | 0.00 | 0.00 | 0.00 | 0.00 | 0.00 | 0.00 |
| Under CCFF | 47.00 | 47.00 | 47.00 | 47.00 | 47.00 | 41.13 | 35.25 | 29.38 | 23.50 | 17.63 | 11.75 | 5.88 | 0.00 | 0.00 | 0.00 | 0.00 | 0.00 | 0.00 |
| Under SAF | 105.32 | 91.01 | 91.01 | 76.69 | 76.69 | 62.38 | 62.38 | 48.06 | 48.06 | 33.75 | 33.75 | 23.52 | 23.52 | 13.30 | 13.30 | 6.14 | 2.05 | -2.05 |
| Under ESAF | 286.33 | 269.35 | 269.35 | 279.76 | 272.92 | 255.93 | 249.09 | 227.30 | 220.46 | 198.67 | 232.93 | 211.14 | 245.40 | 223.61 | 230.47 | 214.24 | 200.04 | 185.84 |
| | | | | | | | | | *(In percent of quota)* | | | | | | | | | |
| Total Fund credit outstanding (end of period) | 171.88 | 159.21 | 158.45 | 155.79 | 152.53 | 137.72 | 132.32 | 115.75 | 110.35 | 93.79 | 103.39 | 88.55 | 98.14 | 86.46 | 88.96 | 80.43 | 73.75 | 67.07 |
| Under tranche policies | 11.79 | 10.54 | 9.78 | 8.54 | 7.78 | 6.54 | 5.78 | 4.54 | 3.78 | 2.53 | 1.77 | 0.76 | 0.00 | 0.00 | 0.00 | 0.00 | 0.00 | 0.00 |
| Under CCFF | 17.15 | 17.15 | 17.15 | 17.15 | 17.15 | 15.01 | 12.86 | 10.72 | 8.58 | 6.43 | 4.29 | 2.14 | 0.00 | 0.00 | 0.00 | 0.00 | 0.00 | 0.00 |
| Under SAF | 38.44 | 33.21 | 33.21 | 27.99 | 27.99 | 22.76 | 22.76 | 17.54 | 17.54 | 12.32 | 12.32 | 8.58 | 8.58 | 4.85 | 4.85 | 2.24 | 0.75 | -0.75 |
| Under ESAF | 104.50 | 98.30 | 98.30 | 102.10 | 99.60 | 93.41 | 90.91 | 82.96 | 80.46 | 72.51 | 85.01 | 77.06 | 89.56 | 81.61 | 84.11 | 78.19 | 73.01 | 67.82 |

Sources: Ghanaian authorities; and Fund staff estimates and projections.

Table 2. Ghana: Selected Economic and Financial Indicators 1994-2000

| | 1994 | 1995 | 1996 Act. | 1997 Prel. | 1998 Prog. | 1999 Proj. | 2000 Proj. |
|---|---|---|---|---|---|---|---|
| | (Annual percentage change, unless otherwise specified) | | | | | | |
| National income and prices | | | | | | | |
| Real GDP | 3.8 | 4.5 | 5.2 | 3.0 | 5.6 | 5.8 | 5.8 |
| Real GDP per capita | 0.7 | 1.4 | 2.1 | -0.1 | 2.5 | 2.7 | 2.7 |
| Nominal GDP (in billions of cedis) | 4,950 | 7,418 | 10,385 | 13,863 | 17,655 | 20,378 | 22,873 |
| Nominal GDP | 34.7 | 49.9 | 40.0 | 33.5 | 27.3 | 15.4 | 12.2 |
| GDP deflator | 29.8 | 43.4 | 33.1 | 29.6 | 20.6 | 9.1 | 6.1 |
| Consumer price index (annual average) | 24.9 | 59.5 | 45.6 | 27.9 | 15.5 | 8.0 | 5.3 |
| Consumer price index (end of period) | 34.2 | 70.8 | 32.7 | 20.8 | 11.0 | 5.5 | 5.0 |
| External sector | | | | | | | |
| Exports, f.o.b | 15.3 | 16.7 | 9.8 | -3.8 | 9.7 | 14.3 | 10.1 |
| Imports, f.o.b. | -8.6 | 6.8 | 14.5 | -6.5 | 9.8 | 9.3 | 6.4 |
| Export volume | 2.6 | 0.3 | 12.5 | -2.7 | 7.5 | 11.2 | 6.7 |
| Import volume | -12.4 | -0.5 | 13.8 | -3.3 | 10.3 | 7.4 | 4.9 |
| Terms of trade | 3.1 | 7.3 | -3.0 | 2.2 | 2.6 | 1.1 | 1.7 |
| Nominal effective exchange rate 1/ | -17.7 | -23.5 | -26.8 | ... | ... | ... | ... |
| Real effective exchange rate 1/ | -17.6 | 14.9 | 12.2 | ... | ... | ... | ... |
| Cedis per US dollars 1/ | 957 | 1,200 | 1,637 | 2,050 | ... | ... | ... |
| Government budget | | | | | | | |
| Domestic revenue | 68.8 | 62.4 | 26.1 | 22.5 | 29.2 | 18.0 | 12.9 |
| Total expenditure | 44.2 | 45.5 | 43.5 | 11.2 | 24.2 | 2.4 | 9.7 |
| Current expenditure | 33.9 | 36.7 | 46.5 | 23.1 | 17.1 | 0.1 | 10.2 |
| Capital expenditure and net lending 2/ | 60.9 | 57.3 | 40.1 | -3.4 | 35.3 | 5.5 | 9.0 |
| Money and credit 3/ | | | | | | | |
| Net domestic assets 4/ | 20.5 | 15.8 | 30.3 | 33.4 | 9.5 | -1.1 | -0.2 |
| Credit to governement 4/ | -5.9 | 6.6 | 12.8 | 22.4 | 9.2 | 0.0 | -4.4 |
| Credit to the rest of the economy 4/ | 23.1 | 15.0 | 15.7 | 18.2 | 7.2 | 4.0 | 3.9 |
| Broad money (including foreign currency deposits) 5/ | 53.0 | 40.8 | 39.7 | 40.8 | 18.0 | 12.0 | 11.0 |
| Reserve money | 78.9 | 35.1 | 44.3 | 33.8 | 11.4 | 12.0 | 11.0 |
| Velocity (GDP/average broad money) | 5.2 | 5.4 | 5.1 | 4.9 | 5.1 | 5.1 | 5.1 |
| Treasury bill rate in percent; (end of period) | 29.5 | 40.5 | 42.8 | 40.0 | ... | ... | ... |
| | (In percent of GDP, unless otherwise specified) | | | | | | |
| Investment and saving | | | | | | | |
| Gross investment | 16.9 | 18.6 | 18.6 | 16.0 | 17.9 | 18.1 | 19.5 |
| *of which:* private | 3.1 | 4.1 | 5.0 | 5.4 | 5.5 | 7.5 | 8.0 |
| Gross national saving | 11.8 | 16.3 | 13.6 | 12.7 | 13.7 | 14.3 | 15.8 |
| *of which* private | 7.1 | 9.4 | 9.3 | 10.7 | 8.3 | 7.6 | 8.1 |
| Government budget | | | | | | | |
| Domestic revenue | 19.7 | 21.4 | 19.2 | 17.6 | 18.3 | 18.7 | 18.8 |
| Total grants | 3.7 | 3.8 | 3.0 | 0.9 | 2.9 | 1.7 | 1.6 |
| Total expenditure 2/ | 32.8 | 31.8 | 32.6 | 27.2 | 27.5 | 24.4 | 23.8 |
| Overall balance (commitment basis) | -9.3 | -6.7 | -10.4 | -8.6 | -6.3 | -4.0 | -3.4 |
| Domestic primary balance | 0.8 | 1.6 | 0.3 | 3.3 | 3.8 | 3.8 | 3.9 |
| Divestiture receipts | 5.2 | 1.4 | 1.4 | 0.8 | 0.8 | 0.1 | 0.1 |
| External sector | | | | | | | |
| Current account balance 6/ | -5.1 | -2.3 | -5.0 | -3.3 | -4.2 | -3.9 | -3.7 |
| Current account balance 7/ | -9.0 | -6.5 | -8.3 | -6.4 | -7.3 | -6.6 | -5.4 |
| External debt outstanding | 94.5 | 95.0 | 97.3 | 93.6 | 95.2 | 92.0 | 87.7 |
| External debt service, including to the Fund | 7.3 | 9.2 | 7.5 | 8.2 | 8.7 | 8.1 | 6.7 |
| (in percent of exports of goods and nonfactor services) | 27.4 | 35.8 | 27.4 | 32.9 | 33.2 | 28.9 | 23.4 |
| (in percent of government revenue) | 36.9 | 42.0 | 38.7 | 46.2 | 47.7 | 43.3 | 34.4 |
| | (In millions of U.S. dollars, unless otherwise specified) | | | | | | |
| Current account balance 6/ | -265 | -142 | -320 | -220 | -290 | -287 | -295 |
| Overall balance of payments | 164 | 284 | -13 | -25 | -40 | -133 | -119 |
| External payments arrears (end of year) | 135 | 100 | 0 | 0 | 0 | 0 | 0 |
| Gross international reserves (end of period) | 593 | 710 | 606 | 466 | 478 | 573 | 653 |
| (in months of imports, c.i.f.) | 4.1 | 4.6 | 3.4 | 2.8 | 2.7 | 2.9 | 3.1 |

Sources: Ghanaian authorities; and Fund staff estimates and projections.

1/ Annual average data.
2/ Including capital outlays financed through external project aid and transfers to the local authorities.
3/ From December 1996, the coverage was increased from 11 to 17 banks.
4/ In percent of broad money at the beginning of the period.
5/ The program for 1996 was based on broad money excluding foreign currency deposits. The programmed growth was 5 percent, and the outturn was 34.2 percent.
6/ Including official grants.
7/ Excluding official grants.

Table 3. Ghana: Central Government Budgetary Operations and Financing, 1994-2000

(In billions of cedis, unless otherwise specified)

| | 1994 | 1995 | 1996 | 1997 | 1998 | 1999 | 2000 |
|---|---|---|---|---|---|---|---|
| | | | | Prel. | Prog. | Proj. | Proj. |
| Total revenue and grants | 1,160 | 1,865 | 2,305 | 2,571 | 3,746 | 4,160 | 4,683 |
| Total revenue | 976 | 1,585 | 1,998 | 2,447 | 3,236 | 3,817 | 4,309 |
| Tax revenue | 841 | 1,139 | 1,711 | 2,070 | 2,798 | 3,297 | 3,712 |
| Direct taxes | 170 | 275 | 433 | 606 | 784 | 906 | 1,017 |
| Company tax | 89 | 157 | 242 | 293 | 381 | 440 | 494 |
| Other direct taxes | 81 | 118 | 191 | 313 | 403 | 466 | 524 |
| Indirect taxes | 396 | 504 | 732 | 833 | 1,115 | 1,308 | 1,485 |
| Sales tax | 137 | 210 | 330 | 407 | 564 | 667 | 760 |
| *Of which*: on imports | 87 | 140 | 157 | 209 | 282 | 325 | 365 |
| Petroleum | 202 | 224 | 290 | 314 | 371 | 428 | 481 |
| Other indirect taxes | 58 | 70 | 113 | 112 | 180 | 213 | 245 |
| Trade taxes | 275 | 360 | 545 | 630 | 899 | 1,083 | 1,210 |
| Import duties | 129 | 203 | 267 | 364 | 509 | 624 | 701 |
| Cocoa export duty | 146 | 157 | 278 | 266 | 390 | 459 | 509 |
| Nontax revenue | 135 | 446 | 287 | 377 | 438 | 520 | 596 |
| Grants | 184 | 280 | 307 | 124 | 510 | 343 | 374 |
| Project grants | 135 | 186 | 229 | 58 | 444 | 232 | 273 |
| Program grants | 49 | 94 | 78 | 67 | 65 | 112 | 102 |
| Total expenditure | 1,622 | 2,359 | 3,387 | 3,764 | 4,857 | 4,972 | 5,452 |
| Recurrent expenditure | 930 | 1,271 | 1,861 | 2,290 | 2,802 | 2,804 | 3,089 |
| Non-interest | 699 | 942 | 1,282 | 1,447 | 1,832 | 2,102 | 2,356 |
| Wages and salaries | 297 | 431 | 613 | 751 | 940 | 1,070 | 1,202 |
| Goods and services | 170 | 190 | 243 | 284 | 390 | 456 | 512 |
| Subventions | 95 | 135 | 239 | 211 | 290 | 335 | 376 |
| Transfers to households | 137 | 186 | 187 | 202 | 212 | 241 | 267 |
| Interest | 230 | 329 | 579 | 843 | 970 | 701 | 733 |
| Domestic | 166 | 233 | 434 | 645 | 671 | 381 | 386 |
| External | 64 | 96 | 145 | 198 | 299 | 321 | 347 |
| Capital expenditure (total) | 692 | 1,089 | 1,525 | 1,474 | 2,055 | 2,168 | 2,364 |
| Capital expenditure (domestic) | 236 | 524 | 682 | 542 | 737 | 951 | 1,072 |
| Development | 228 | 508 | 573 | 537 | 758 | 951 | 1,072 |
| Net lending | 8 | 16 | 109 | 5 | -21 | 0 | 0 |
| Capital expenditure (foreign) | 456 | 565 | 843 | 932 | 1,318 | 1,217 | 1,292 |
| Overall balance (commitment basis) | -462 | -495 | -1,082 | -1,194 | -1,112 | -811 | -769 |
| (in percent of GDP) | -9.3 | -6.7 | -10.4 | -8.6 | -6.3 | -4.0 | -3.4 |
| Domestic arrears (net change) | 9 | 81 | -12 | -84 | -48 | 0 | 0 |
| Overall balance (cash basis) | -453 | -414 | -1,093 | -1,278 | -1,160 | -811 | -769 |
| Divestiture receipts | 255 | 106 | 144 | 106 | 150 | 28 | 29 |
| Total financing | 197 | 308 | 949 | 1,172 | 1,010 | 784 | 740 |
| Foreign (net) | 236 | 336 | 418 | 444 | 458 | 201 | 431 |
| Borrowing | 351 | 530 | 855 | 949 | 1,140 | 986 | 1,135 |
| Project loans | 321 | 378 | 614 | 875 | 874 | 986 | 1,019 |
| Program loans | 30 | 152 | 241 | 75 | 266 | 0 | 116 |
| Amortization | -115 | -194 | -437 | -505 | -682 | -785 | -704 |
| Domestic (net) | -39 | -28 | 531 | 728 | 552 | 583 | 309 |
| Banking system | -44 | -67 | 226 | 528 | 307 | 0 | 0 |
| Nonbanks | 6 | 38 | 305 | 200 | 245 | 583 | 309 |
| Memorandum items: | | | | | | | |
| Domestic primary balance | 41 | 119 | 33 | 458 | 667 | 764 | 881 |
| (in percent of GDP) | 0.8 | 1.6 | 0.3 | 3.3 | 3.8 | 3.8 | 3.9 |
| Health[1] | 59 | 72 | 124 | 137 | 202 | ... | ... |
| Education[1] | 208 | 297 | 462 | 511 | 666 | ... | ... |
| Defense | 31 | 51 | 77 | 88 | 133 | ... | ... |
| GDP at current market prices | 4,950 | 7,418 | 10,385 | 13,863 | 17,655 | 20,378 | 22,873 |

Sources: Ghanaian authorities; and Fund staff estimates and projections.

[1] Excludes foreign financed capital expenditure.

Table 4. Ghana: Central Government Budgetary Operations and Financing, 1994-2000

(In percent of GDP)

| | 1994 | 1995 | 1996 | 1997 Prel. | 1998 Prog. | 1999 Proj. | 2000 Proj. |
|---|---|---|---|---|---|---|---|
| Total revenue and grants | 23.4 | 25.1 | 22.2 | 18.5 | 21.2 | 20.4 | 20.5 |
| Total revenue | 19.7 | 21.4 | 19.2 | 17.6 | 18.3 | 18.7 | 18.8 |
| Tax revenue | 17.0 | 15.3 | 16.5 | 14.9 | 15.8 | 16.2 | 16.2 |
| Direct taxes | 3.4 | 3.7 | 4.2 | 4.4 | 4.4 | 4.4 | 4.4 |
| Company tax | 1.8 | 2.1 | 2.3 | 2.1 | 2.2 | 2.2 | 2.2 |
| Other direct taxes | 1.6 | 1.6 | 1.8 | 2.3 | 2.3 | 2.3 | 2.3 |
| Indirect taxes | 8.0 | 6.8 | 7.1 | 6.0 | 6.3 | 6.4 | 6.5 |
| Sales tax | 2.8 | 2.8 | 3.2 | 2.9 | 3.2 | 3.3 | 3.3 |
| Petroleum | 4.1 | 3.0 | 2.8 | 2.3 | 2.1 | 2.1 | 2.1 |
| Other indirect taxes | 1.2 | 0.9 | 1.1 | 0.8 | 1.0 | 1.0 | 1.1 |
| Trade taxes | 5.6 | 4.9 | 5.2 | 4.5 | 5.1 | 5.3 | 5.3 |
| Import duties | 2.6 | 2.7 | 2.6 | 2.6 | 2.9 | 3.1 | 3.1 |
| Cocoa export duty | 3.0 | 2.1 | 2.7 | 1.9 | 2.2 | 2.3 | 2.2 |
| Nontax revenue | 2.7 | 6.0 | 2.8 | 2.7 | 2.5 | 2.6 | 2.6 |
| Grants | 3.7 | 3.8 | 3.0 | 0.9 | 2.9 | 1.7 | 1.6 |
| Project grants | 2.7 | 2.5 | 2.2 | 0.4 | 2.5 | 1.1 | 1.2 |
| Program grants | 1.0 | 1.3 | 0.8 | 0.5 | 0.4 | 0.5 | 0.4 |
| Total expenditure | 32.8 | 31.8 | 32.6 | 27.2 | 27.5 | 24.4 | 23.8 |
| Recurrent expenditure | 18.8 | 17.1 | 17.9 | 16.5 | 15.9 | 13.8 | 13.5 |
| Non-interest | 14.1 | 12.7 | 12.3 | 10.4 | 10.4 | 10.3 | 10.3 |
| Wages and salaries | 6.0 | 5.8 | 5.9 | 5.4 | 5.3 | 5.3 | 5.3 |
| Goods and services | 3.4 | 2.6 | 2.3 | 2.0 | 2.2 | 2.2 | 2.2 |
| Subventions | 1.9 | 1.8 | 2.3 | 1.5 | 1.6 | 1.6 | 1.6 |
| Transfers to households | 2.8 | 2.5 | 1.8 | 1.5 | 1.2 | 1.2 | 1.2 |
| Interest | 4.7 | 4.4 | 5.6 | 6.1 | 5.5 | 3.4 | 3.2 |
| Domestic | 3.4 | 3.1 | 4.2 | 4.7 | 3.8 | 1.9 | 1.7 |
| External | 1.3 | 1.3 | 1.4 | 1.4 | 1.7 | 1.6 | 1.5 |
| Capital expenditure (total) | 14.0 | 14.7 | 14.7 | 10.6 | 11.6 | 10.6 | 10.3 |
| Capital expenditure (domestic) | 4.8 | 7.1 | 6.6 | 3.9 | 4.2 | 4.7 | 4.7 |
| Development | 4.6 | 6.9 | 5.5 | 3.9 | 4.3 | 4.7 | 4.7 |
| Net lending | 0.2 | 0.2 | 1.0 | 0.0 | -0.1 | 0.0 | 0.0 |
| Capital expenditure (foreign) | 9.2 | 7.6 | 8.1 | 6.7 | 7.5 | 6.0 | 5.6 |
| Overall balance (commitment basis) | -9.3 | -6.7 | -10.4 | -8.6 | -6.3 | -4.0 | -3.4 |
| Domestic arrears (net change) | 0.2 | 1.1 | -0.1 | -0.6 | -0.3 | 0.0 | 0.0 |
| Overall balance (cash basis) | -9.1 | -5.6 | -10.5 | -9.2 | -6.6 | -4.0 | -3.4 |
| Divestiture receipts | 5.2 | 1.4 | 1.4 | 0.8 | 0.8 | 0.1 | 0.1 |
| Total financing | 4.0 | 4.1 | 9.1 | 8.5 | 5.7 | 3.8 | 3.2 |
| Foreign (net) | 4.8 | 4.5 | 4.0 | 3.2 | 2.6 | 1.0 | 1.9 |
| Borrowing | 7.1 | 7.1 | 8.2 | 6.8 | 6.5 | 4.8 | 5.0 |
| Project loans | 6.5 | 5.1 | 5.9 | 6.3 | 4.9 | 4.8 | 4.5 |
| Program loans | 0.6 | 2.0 | 2.3 | 0.5 | 1.5 | 0.0 | 0.5 |
| Amortization | -2.3 | -2.6 | -4.2 | -3.6 | -3.9 | -3.9 | -3.1 |
| Domestic (net) | -0.8 | -0.4 | 5.1 | 5.2 | 3.1 | 2.9 | 1.4 |
| Banking system | -0.9 | -0.9 | 2.2 | 3.8 | 1.7 | 0.0 | 0.0 |
| Nonbanks | 0.1 | 0.5 | 2.9 | 1.4 | 1.4 | 2.9 | 1.4 |
| Memorandum items: | | | | | | | |
| Domestic primary balance | 0.8 | 1.6 | 0.3 | 3.3 | 3.8 | 3.8 | 3.9 |
| Health[1] | 1.2 | 1.0 | 1.2 | 1.0 | 1.1 | ... | ... |
| *(In percent of dom. primary exp.)* | *6.3* | *4.9* | *6.3* | *6.9* | *7.9* | ... | ... |
| Education[1] | 4.2 | 4.0 | 4.4 | 3.7 | 3.8 | ... | ... |
| *(In percent of dom. primary exp.)* | *22.2* | *20.3* | *23.5* | *25.7* | *25.9* | ... | ... |
| Defense | 0.6 | 0.7 | 0.7 | 0.6 | 0.8 | ... | ... |

Sources: Ghanaian authorities; and Fund staff estimates and projections.

[1] Excludes foreign financed capital expenditure.

Table 5. Ghana: Central Government Domestic Primary Balance, 1998

(In billions of cedis)

| | 1998 | | | | |
|---|---|---|---|---|---|
| | Q1 | Q2 | Q3 | Q4 | Annual |
| | | Prog. | | | Prog. |
| Revenue | 664 | 774 | 819 | 979 | 3,236 |
| Direct taxes | 151 | 227 | 207 | 199 | 784 |
| Company tax | 60 | 125 | 101 | 95 | 381 |
| Other direct taxes | 91 | 102 | 106 | 104 | 403 |
| Indirect taxes | 234 | 265 | 280 | 336 | 1,115 |
| Sales tax (including on imports) | 113 | 137 | 138 | 176 | 564 |
| Petroleum taxes | 80 | 85 | 95 | 111 | 371 |
| Other indirect taxes | 41 | 43 | 47 | 49 | 180 |
| Trade taxes | 158 | 160 | 223 | 358 | 899 |
| Import duties | 103 | 112 | 123 | 171 | 509 |
| Cocoa export duty | 55 | 48 | 100 | 187 | 390 |
| Nontax revenue | 121 | 122 | 109 | 86 | 438 |
| Domestic primary expenditure | 509 | 642 | 613 | 806 | 2,570 |
| Noninterest current expenditure | 362 | 459 | 451 | 562 | 1,832 |
| Wages and salaries | 190 | 261 | 240 | 249 | 940 |
| Goods and services | 101 | 82 | 90 | 117 | 390 |
| Subventions | 41 | 67 | 70 | 113 | 290 |
| Transfers | 30 | 49 | 51 | 83 | 212 |
| Capital expenditure (domestic) | 147 | 183 | 162 | 244 | 737 |
| Development | 153 | 189 | 168 | 249 | 758 |
| Net lending | -5 | -5 | -5 | -5 | -21 |
| Domestic primary balance | 155 | 132 | 206 | 173 | 666 |
| Memorandum items | | | | | |
| Cumulative from January 1998: | | | | | |
| Revenue | 664 | 1,438 | 2,257 | 3,236 | 3,236 |
| Domestic primary expenditure | 509 | 1,151 | 1,764 | 2,570 | 2,570 |
| Domestic primary balance | 155 | 287 | 493 | 667 | 667 |

Sources: Ghanaian authorities; and Fund staff estimates and projections.

Table 6. Ghana: Monetary Survey, 1994-98
(In billions of cedis, unless otherwise specified; end of period)

| | 1994 | 1995 | 1996 | 1997 | | | | 1998 | | | |
|---|---|---|---|---|---|---|---|---|---|---|---|
| | Dec. | Dec. | Dec. | Mar. | June | Sep. | Dec. | Mar. | June | Sep. | Dec. |
| | | | | | | | | Prog. | Prog. | Prog. | Prog. |
| Bank of Ghana | | | | | | | | | | | |
| Net foreign assets | -225 | 51 | 28 | 113 | -186 | -305 | 92 | -61 | -188 | -215 | 216 |
| (in millions of U.S. dollars) | -214 | 35 | 16 | 60 | -88 | -138 | 41 | -25 | -75 | -83 | 81 |
| Net domestic assets | 687 | 572 | 871 | 738 | 1,054 | 1,178 | 1,111 | 1,218 | 1,313 | 1,314 | 1,192 |
| Claims on government (net) | 175 | 114 | 289 | 97 | 156 | 123 | 134 | 200 | 200 | 200 | 200 |
| Claims on deposit money banks | 7 | 8 | 9 | 44 | 37 | 32 | 33 | 33 | 23 | 15 | 9 |
| Claims on public enterprises | 149 | 189 | 146 | 148 | 148 | 131 | 76 | 32 | 14 | 14 | 14 |
| Bank of Ghana bills/liquidity management (-) | -479 | -657 | -518 | -506 | -329 | -179 | -195 | -126 | -33 | -55 | -190 |
| Other items net (assets +) | 836 | 917 | 945 | 955 | 1,042 | 1,070 | 1,062 | 1,080 | 1,110 | 1,140 | 1,160 |
| Reserve money (RM) | 461 | 623 | 899 | 851 | 868 | 874 | 1,203 | 1,157 | 1,125 | 1,099 | 1,408 |
| Currency outside banks | 369 | 546 | 721 | 676 | 664 | 682 | 982 | 915 | 873 | 835 | 1,125 |
| Bank reserves | 89 | 69 | 169 | 165 | 187 | 184 | 212 | 233 | 243 | 254 | 274 |
| Cash | 23 | 39 | 43 | 22 | 35 | 42 | 58 | 43 | 45 | 48 | 51 |
| Deposits | 65 | 30 | 125 | 143 | 151 | 142 | 155 | 189 | 198 | 207 | 223 |
| Required reserves | 30 | 39 | 110 | 123 | 164 | 174 | 186 | 189 | 198 | 207 | 223 |
| Excess/shortfall of reserves | 36 | -9 | 16 | 20 | -13 | -33 | -32 | 0 | 0 | 0 | 0 |
| Nonbank deposits | 4 | 8 | 10 | 10 | 17 | 8 | 9 | 9 | 9 | 9 | 9 |
| Deposit money banks [1] | | | | | | | | | | | |
| Net foreign assets | 393 | 409 | 610 | 642 | 744 | 724 | 720 | 779 | 823 | 852 | 879 |
| Reserves | 89 | 107 | 201 | 134 | 174 | 205 | 219 | 233 | 243 | 254 | 274 |
| Bank of Ghana bills | 369 | 564 | 475 | 480 | 307 | 116 | 181 | 118 | 31 | 51 | 177 |
| Credit from Bank of Ghana | -20 | -18 | -29 | -50 | -48 | -47 | -44 | -44 | -34 | -26 | -20 |
| Domestic credit | 234 | 362 | 699 | 1,046 | 1,245 | 1,716 | 1,936 | 1,941 | 2,158 | 2,299 | 2,416 |
| Claims on government (net) | -69 | -76 | -39 | 109 | 150 | 533 | 635 | 591 | 751 | 826 | 876 |
| Claims on private sector [2] | 303 | 438 | 738 | 937 | 1,095 | 1,183 | 1,301 | 1,350 | 1,407 | 1,473 | 1,540 |
| *Of which* | | | | | | | | | | | |
| In foreign currency | 13 | 47 | 90 | 123 | 222 | 243 | 331 | 360 | 381 | 396 | 409 |
| Other items net (assets +) | -267 | -331 | -329 | -453 | -373 | -534 | -682 | -747 | -819 | -897 | -982 |
| Total deposits | 798 | 1,093 | 1,627 | 1,800 | 2,050 | 2,180 | 2,330 | 2,368 | 2,470 | 2,587 | 2,784 |
| Monetary survey [1] | | | | | | | | | | | |
| Net foreign assets | 167 | 460 | 638 | 755 | 558 | 419 | 812 | 718 | 634 | 637 | 1,094 |
| Net domestic assets | 1,003 | 1,188 | 1,719 | 1,731 | 2,173 | 2,451 | 2,508 | 2,574 | 2,718 | 2,794 | 2,824 |
| Domestic credit | 557 | 666 | 1,134 | 1,291 | 1,550 | 1,970 | 2,146 | 2,172 | 2,371 | 2,513 | 2,630 |
| Claims on government (net) | 106 | 39 | 249 | 206 | 306 | 656 | 769 | 791 | 951 | 1,026 | 1,076 |
| Claims on private sector [2] | 452 | 627 | 885 | 1,085 | 1,244 | 1,314 | 1,377 | 1,382 | 1,421 | 1,487 | 1,554 |
| Bank of Ghana bills held by nonbanks | -37 | -33 | -37 | -16 | -22 | -62 | -13 | -9 | -2 | -4 | -13 |
| Other items net (assets +) | 483 | 555 | 622 | 456 | 646 | 543 | 376 | 410 | 349 | 285 | 208 |
| Broad money (M2) [2] | 1,170 | 1,648 | 2,358 | 2,486 | 2,731 | 2,870 | 3,320 | 3,292 | 3,352 | 3,431 | 3,918 |
| Currency | 369 | 546 | 721 | 676 | 664 | 682 | 982 | 915 | 873 | 835 | 1,125 |
| Deposits | 802 | 1,101 | 1,637 | 1,810 | 2,067 | 2,188 | 2,339 | 2,377 | 2,479 | 2,596 | 2,793 |
| *Of which* | | | | | | | | | | | |
| Foreign currency deposits | 203 | 318 | 531 | 573 | 662 | 707 | 729 | 794 | 843 | 878 | 909 |
| (in millions of U.S. dollars) | 193 | 219 | 305 | 303 | 313 | 319 | 324 | 329 | 334 | 339 | 344 |
| Memorandum items: | | | | | | | | | | | |
| Broad money (12-month change in percent) | 53.0 | 40.8 | 39.7 | ... | ... | ... | 40.8 | 32.4 | 22.7 | 19.6 | 18.0 |
| Reserve money (12-month change in percent) | 78.9 | 35.1 | 44.3 | 46.9 | 45.0 | 34.1 | 33.8 | 35.9 | 29.7 | 24.5 | 17.0 |
| Currency-M2 ratio | 0.32 | 0.33 | 0.31 | 0.27 | 0.24 | 0.24 | 0.30 | 0.28 | 0.26 | 0.24 | 0.29 |
| Velocity (GDP/average of M2) | 5.24 | 5.35 | 5.09 | ... | ... | ... | 4.86 | ... | ... | ... | 5.05 |
| Reserve money multiplier (M2/RM) | 2.54 | 2.64 | 2.62 | 2.92 | 3.15 | 3.28 | 2.76 | 2.85 | 2.98 | 3.12 | 2.78 |

Sources: Ghanaian authorities; and Fund staff estimates and projections.

[1] From December 1996, the coverage was increased from 11 to 17 deposit money banks.

[2] Including public enterprises.

Table 7. Ghana: Balance of Payments, 1994-2002

| | 1994 | 1995 | 1996 | 1997 | 1998 | 1999 | 2000 | 2001 | 2002 |
|---|---|---|---|---|---|---|---|---|---|
| | | | | Est. | Projections | | | | |
| | (In millions of U.S. dollars, unless otherwise specified) | | | | | | | | |
| Exports, f.o.b. | 1,227 | 1,431 | 1,571 | 1,511 | 1,658 | 1,895 | 2,086 | 2,272 | 2,444 |
| Cocoa beans and cocoa products | 320 | 390 | 552 | 491 | 536 | 583 | 631 | 673 | 718 |
| Gold | 549 | 647 | 612 | 565 | 531 | 568 | 612 | 652 | 672 |
| Timber and timber products | 165 | 191 | 147 | 165 | 180 | 194 | 225 | 251 | 270 |
| Others | 193 | 204 | 260 | 291 | 410 | 551 | 618 | 696 | 784 |
| Imports, f.o.b. | -1,580 | -1,687 | -1,932 | -1,805 | -1,982 | -2,165 | -2,303 | -2,427 | -2,589 |
| Non-oil | -1,409 | -1,496 | -1,679 | -1,534 | -1,695 | -1,835 | -1,955 | -2,054 | -2,189 |
| Oil | -171 | -191 | -253 | -272 | -286 | -330 | -348 | -373 | -400 |
| Trade balance | -353 | -256 | -361 | -295 | -324 | -270 | -217 | -155 | -145 |
| Services (net) | -384 | -409 | -441 | -437 | -492 | -529 | -525 | -573 | -615 |
| *Of which* | | | | | | | | | |
| Interest payments | -109 | -129 | -151 | -154 | -169 | -149 | -124 | -145 | -160 |
| Private transfers (net) | 271 | 263 | 276 | 296 | 311 | 314 | 318 | 321 | 324 |
| Current account balance, excluding official transfers | -466 | -402 | -525 | -435 | -505 | -484 | -424 | -407 | -436 |
| Official transfers (net) | 201 | 260 | 206 | 216 | 215 | 198 | 129 | 132 | 137 |
| Current account balance, including official transfers | -265 | -142 | -320 | -220 | -290 | -287 | -295 | -275 | -299 |
| Capital account | 479 | 432 | 279 | 247 | 330 | 311 | 414 | 442 | 392 |
| Official capital (net) | 295 | 170 | 358 | 274 | 251 | 117 | 132 | 135 | 72 |
| Long-term loans | 312 | 322 | 309 | 281 | 363 | 293 | 302 | 295 | 247 |
| Inflows | 369 | 397 | 386 | 367 | 493 | 415 | 430 | 420 | 380 |
| Amortization | -57 | -75 | -77 | -86 | -130 | -122 | -128 | -125 | -133 |
| Medium-term loans | -17 | -152 | 49 | -7 | -112 | -177 | -170 | -160 | -175 |
| Inflows | 113 | 104 | 175 | 165 | 86 | 76 | 70 | 70 | 35 |
| Amortization | -130 | -256 | -127 | -172 | -198 | -252 | -240 | -230 | -210 |
| Private capital | 206 | 259 | 70 | 55 | 79 | 195 | 282 | 307 | 320 |
| Direct investment including divestiture | 233 | 107 | 120 | 82 | 145 | 217 | 282 | 307 | 320 |
| Other | -28 | 153 | -50 | -27 | -66 | -22 | 0 | 0 | 0 |
| Short-term capital | -22 | 3 | -149 | -82 | 0 | 0 | 0 | 0 | 0 |
| Net errors and omissions | -50 | -6 | 28 | -2 | 0 | 0 | 0 | 0 | 0 |
| Overall balance | 164 | 284 | -13 | 25 | 40 | 25 | 119 | 166 | 93 |
| Change in arrears | 0 | -35 | -100 | 0 | 0 | 0 | 0 | 0 | 0 |
| Financing | -164 | -249 | 113 | -25 | -40 | -25 | -119 | -166 | -93 |
| Debt deferral | 0 | 0 | 100 | 0 | 0 | 0 | 0 | 0 | 0 |
| Net foreign assets | -164 | -249 | 13 | -25 | -40 | -133 | -119 | -166 | -93 |
| Net international reserves | -167 | -252 | 13 | -25 | -40 | -133 | -119 | -166 | -93 |
| Use of Fund credit | -83 | -65 | -86 | -166 | -27 | -38 | -38 | -34 | -15 |
| Purchase (General resource account) | 0 | 0 | 0 | 0 | 0 | 0 | 0 | 0 | 0 |
| Repurchase (General resource account) | -39 | -20 | -25 | -47 | -33 | 0 | 0 | 0 | 0 |
| Disbursements(SAF/ESAF) | 0 | 43 | 40 | 0 | 111 | 37 | 0 | 0 | 0 |
| Repayments(SAF/ESAF) | -44 | -88 | -101 | -118 | -105 | -75 | -38 | -34 | -15 |
| Other reserves (increase -) | -84 | -187 | 99 | 140 | -12 | -95 | -80 | -132 | -78 |
| Bilateral payments agreements | 3 | 3 | 0 | 0 | 0 | 0 | 0 | 0 | 0 |
| Financing gap | 0 | 0 | 0 | 0 | 0 | 108 | 0 | 0 | 0 |
| Memorandum items: | | | | | | | | | |
| Current account deficit (in percent of GDP) | | | | | | | | | |
| Excluding official transfers | 9.0 | 6.5 | 8.3 | 6.4 | 7.3 | 6.6 | 5.4 | 4.8 | 4.8 |
| Including official transfers | 5.1 | 2.3 | 5.0 | 3.3 | 4.2 | 3.9 | 3.7 | 3.2 | 3.3 |
| Gross international reserves | | | | | | | | | |
| End of period (in millions of US dollars) | 593 | 710 | 606 | 466 | 478 | 573 | 653 | 785 | 864 |
| In months of imports (c.i.f.) | 4.1 | 4.6 | 3.4 | 2.8 | 2.7 | 2.9 | 3.1 | 3.6 | 3.7 |
| Cocoa exports | | | | | | | | | |
| Volume (in thousands of tons) | 252 | 251 | 394 | 320 | 350 | 370 | 392 | 411 | 430 |
| Price (in U.S. dollars per ton) | 1,269 | 1,551 | 1,374 | 1,450 | 1,525 | 1,568 | 1,602 | 1,636 | 1,671 |

Sources: Bank of Ghana; and Fund staff estimates and projections.

Table 8. Ghana: External Financing Requirements and Sources, 1995-99
(In millions of U.S. dollars)

| | 1995 | 1996 | 1997 | 1998 | 1999 |
|---|---|---|---|---|---|
| | | | Estimate | Projections | |
| Current account | -402 | -525 | -435 | -505 | -484 |
| (excluding official transfers) | | | | | |
| Exports, f.o.b. | 1,431 | 1,571 | 1,511 | 1,658 | 1,895 |
| Imports, f.o.b. | -1,687 | -1,932 | -1,805 | -1,982 | -2,165 |
| Services (net) | -409 | -441 | -437 | -492 | -529 |
| Private transfers | 263 | 276 | 296 | 311 | 314 |
| Capital account | -79 | -204 | -288 | -302 | -179 |
| Scheduled amortization | -330 | -203 | -258 | -328 | -374 |
| IMF repayments | -108 | -125 | -166 | -138 | -75 |
| Other capital (net) | 359 | 124 | 136 | 164 | 271 |
| Change in official reserves (increase -) | -187 | 99 | 140 | -12 | -95 |
| Change in arrears (decrease -) | -35 | -100 | 0 | 0 | 0 |
| External financing requirements | -703 | -731 | -583 | -819 | -758 |
| Expected disbursements | 703 | 631 | 583 | 819 | 650 |
| Grants | 263 | 206 | 216 | 215 | 198 |
| Project | 179 | 153 | 184 | 188 | 185 |
| Program | 84 | 52 | 31 | 27 | 13 |
| Concessional loans | 397 | 386 | 367 | 493 | 415 |
| Project | 322 | 314 | 326 | 388 | 357 |
| Program | 75 | 72 | 41 | 105 | 59 |
| IMF | 43 | 40 | 0 | 111 | 37 |
| Debt deferral/rescheduling | 0 | 100 | 0 | 0 | 0 |
| Residual financing gap | 0 | 0 | 0 | 0 | 108 |

Sources: Ghanaian authorities; and Fund staff estimates and projections.

Table 9. Ghana: External Public Debt and Debt Service Payments, 1994-2002

(In millions of U.S. dollars, unless otherwise specified)

| | 1994 | 1995 | 1996 | 1997 | 1998 | 1999 | 2000 | 2001 | 2002 |
|---|---|---|---|---|---|---|---|---|---|
| | | | | Est. | Projections | | | | |
| Total public and publicly guranteed debt | 5,703 | 5,875 | 6,174 | 6,324 | 6,605 | 6,796 | 6,908 | 6,967 | 6,925 |
| *Of which* | | | | | | | | | |
| Multilateral (including IMF) | 4,226 | 4,298 | 4,662 | 4,752 | 4,971 | 5,083 | 5,134 | 5,126 | 5,014 |
| Bilateral | 1,302 | 1,400 | 1,484 | 1,532 | 1,633 | 1,713 | 1,773 | 1,842 | 1,910 |
| Other[1] | 175 | 178 | 28 | 40 | 0 | 0 | 0 | 0 | 0 |
| External public debt service | | | | | | | | | |
| Principal | 270 | 438 | 328 | 424 | 466 | 450 | 406 | 389 | 358 |
| Medium term | 130 | 256 | 127 | 172 | 198 | 252 | 240 | 230 | 210 |
| Long term | 57 | 75 | 77 | 86 | 130 | 122 | 128 | 125 | 133 |
| IMF repurchases | 83 | 108 | 125 | 166 | 138 | 75 | 38 | 34 | 15 |
| Interest | 106 | 128 | 144 | 127 | 141 | 150 | 125 | 126 | 134 |
| Medium term | 36 | 45 | 61 | 65 | 66 | 73 | 55 | 57 | 60 |
| Long term | 59 | 72 | 73 | 54 | 70 | 72 | 66 | 65 | 70 |
| IMF charges | 11 | 11 | 11 | 8 | 6 | 5 | 4 | 4 | 4 |
| Total | | | | | | | | | |
| Including IMF | 376 | 566 | 473 | 551 | 607 | 600 | 532 | 515 | 492 |
| Excluding IMF | 282 | 447 | 337 | 377 | 463 | 520 | 489 | 477 | 473 |
| Memorandum items: | | | | | | | | | |
| External public debt-service ratio[2] | | | | | | | | | |
| Including IMF | 27.4 | 35.8 | 27.4 | 32.9 | 33.2 | 28.9 | 23.4 | 20.8 | 18.6 |
| Excluding IMF | 20.5 | 28.3 | 19.5 | 22.5 | 25.3 | 25.0 | 21.5 | 19.3 | 17.8 |
| Ratio of external public debt service to GDP[3] | | | | | | | | | |
| Including IMF | 7.3 | 9.2 | 7.5 | 8.2 | 8.7 | 8.1 | 6.7 | 6.1 | 5.4 |
| Excluding IMF | 5.4 | 7.2 | 5.3 | 5.6 | 6.7 | 7.0 | 6.2 | 5.6 | 5.2 |
| Ratio of external public debt service to GDP[3] | 110.2 | 95.0 | 97.3 | 93.6 | 95.2 | 92.0 | 87.7 | 82.2 | 75.8 |

Sources: Ghanaian authorities; and Fund staff estimates and projections.

[1] Consists of short-term oil credits, Cocoa Board debt, and Bank of Ghana debt.

[2] In percent of exports of goods and nonfactor services.

[3] In percent.

Table 10. Ghana: Indicators of Fund Credit, 1996-2008

| | 1996 | 1997 | 1998 | 1999 | 2000 | 2001 | 2002 | 2003 | 2004 | 2005 | 2006 | 2007 | 2008 |
|---|---|---|---|---|---|---|---|---|---|---|---|---|---|
| | | Est. | Projections | | | | | | | | | | |
| | (In units indicated) | | | | | | | | | | | | |
| Outstanding Fund credit | | | | | | | | | | | | | |
| In million of SDRs | 377 | 257 | 237 | 209 | 181 | 156 | 145 | 130 | 101 | 69 | 44 | 22 | 0 |
| In percent of quota | 137.7 | 93.8 | 86.5 | 76.3 | 66.0 | 57.0 | 53.0 | 47.5 | 37.0 | 25.0 | 16.0 | 8.1 | 1.6 |
| In percent of GDP | 8.6 | 5.2 | 4.6 | 3.8 | 3.1 | 2.5 | 2.2 | 1.8 | 1.3 | 0.8 | 0.5 | 0.2 | 0.0 |
| In percent of exports of goods and nonfactor services | 31.7 | 21.1 | 17.5 | 13.7 | 10.9 | 8.7 | 7.5 | 6.3 | 4.6 | 2.9 | 1.7 | 0.8 | 0.0 |
| Debt service due to the Fund[1] | | | | | | | | | | | | | |
| In million of SDRs | 94 | 126 | 106 | 59 | 31 | 28 | 14 | 18 | 32 | 36 | 27 | 22 | 18 |
| In percent of quota | 34.2 | 46.1 | 38.8 | 21.5 | 11.5 | 10.2 | 5.1 | 6.6 | 11.5 | 13.0 | 9.9 | 8.0 | 6.5 |
| In percent of exports of goods and nonfactor services | 7.9 | 10.4 | 7.9 | 3.9 | 1.9 | 1.5 | 0.7 | 0.9 | 1.4 | 1.5 | 1.1 | 0.8 | 0.6 |
| In percent of debt service due | 28.7 | 31.6 | 23.7 | 13.3 | 8.1 | 7.4 | 3.9 | 5.4 | 10.1 | 12.1 | 10.9 | 10.1 | 8.6 |
| In percent of gross official reserves | 22.4 | 37.3 | 30.1 | 14.0 | 6.6 | 4.9 | 2.2 | 2.6 | 4.2 | 4.3 | 3.0 | 2.2 | 1.6 |
| Gross Fund financing | | | | | | | | | | | | | |
| In million of SDRs | 27 | 0 | 82 | 27 | 0 | 0 | 0 | 0 | 0 | 0 | 0 | 0 | 0 |
| In percent of Ghana's gross financing need[2] | 4.7 | 0.0 | 11.3 | 3.6 | 0.0 | 0.0 | 0.0 | 0.0 | 0.0 | 0.0 | 0.0 | 0.0 | 0.0 |
| Memorandum items: | (In millions of U.S. dollars, unless otherwise specified) | | | | | | | | | | | | |
| Exchange rate (U.S. dollars per SDR) | 1.5 | 1.4 | 1.4 | 1.4 | 1.4 | 1.4 | 1.4 | 1.4 | 1.4 | 1.4 | 1.4 | 1.4 | 1.4 |
| Quota (in millions of SDRs) | 274 | 274 | 274 | 274 | 274 | 274 | 274 | 274 | 274 | 274 | 274 | 274 | 274 |
| GDP | 6,344 | 6,753 | 6,940 | 7,391 | 7,879 | 8,480 | 9,135 | 9,840 | 10,600 | 11,462 | 12,405 | 13,426 | 14,545 |
| Debt service due | 473 | 551 | 607 | 600 | 532 | 515 | 492 | 457 | 430 | 402 | 342 | 301 | 284 |
| Gross official reserves | 606 | 466 | 478 | 573 | 653 | 785 | 864 | 962 | 1,037 | 1,129 | 1,240 | 1,362 | 1,502 |
| Export of goods and nonfactor services | 1,750 | 1,702 | 1,857 | 2,106 | 2,311 | 2,516 | 2,704 | 2,877 | 3,092 | 3,330 | 3,595 | 4,014 | 4,448 |
| Ghana's gross financing need (-) | -731 | -583 | -819 | -758 | ... | ... | ... | ... | ... | ... | ... | ... | ... |

Sources: Ghanaian authorities; and staff estimates and projections.

[1] Excluding SDR charges.

[2] Gross financing need is defined as the sum of the current account deficit, medium- and long-term debt amortization, Fund repurchases/repayments, the reduction in payments arrears, and the increase in the gross foreign reserves.

**REPUBLIC OF GHANA**
**SECOND ANNUAL ARRANGEMENT UNDER**
**THE ENHANCED STRUCTURAL ADJUSTMENT FACILITY**

Attached hereto is a letter dated March 9, 1998 (hereinafter the "Letter") with an annexed memorandum of economic and financial policies with its tables (hereinafter the "Memorandum"), from the Minister of Finance of the Republic of Ghana requesting from the International Monetary Fund the second annual arrangement under the Enhanced Structural Adjustment Facility, and setting forth the objectives and policies of the program to be supported by that arrangement.

To support these objectives and policies, the Fund grants the requested arrangement in accordance with the following provisions, and subject to the Instrument to Establish the Enhanced Structural Adjustment Facility Trust:

1. (a) Under the second annual arrangement:

(i) the first loan in an amount equivalent to SDR 41.1 million, will be available on March 31, 1998 at the request of the Republic of Ghana; and

(ii) the second loan, in an amount equivalent to SDR 41.1 million, will be available on September 30, 1998 at the request of the Republic of Ghana, subject to paragraph 2 below.

2. The Republic of Ghana will not request disbursement of the second loan specified in paragraph 1(a)(ii) above:

(a) if the Managing Director finds that the data at the end of June 1998 indicate that:

(i) the floor for the Government domestic primary surplus as specified in Table 1 of the Memorandum, or

(ii) the limit on net domestic financing of the Government budget deficit as specified in Table 1 of the Memorandum, or

(iii) the limit on reserve money as specified in Table 1 of the Memorandum, or

(iv) the floor for the net foreign assets of the Bank of Ghana as specified in Table 1 of the Memorandum, or

(v) the limit on the contracting or guaranteeing by the General Government or the Bank of Ghana of new nonconcessional external debt in maturities between one and fifteen years as specified in Table 1 of the Memorandum, or

(vi) the limit on the outstanding stock of nonconcessional external loans in maturities of less than one year contracted or guaranteed by the General Government or the Bank of Ghana as specified in Table 1 of the Memorandum, was not observed; or

(b) if the Managing Director finds that the Republic of Ghana has not:

(i) offered for sale the Tema Oil Refinery Ltd. and the Ghana Oil Company Ltd. by June 30, 1998, as described and specified in paragraph 18 and Table 2 of the Memorandum, or

(ii) ensured the repayment in full by the Ghana National Petroleum Corporation of its debt to the Bank of Ghana by June 30, 1998, as described and specified in paragraph 11 and Table 2 of the Memorandum, or

(iii) established a central revenue authority by June 30, 1998, as described and specified in paragraph 15 and Table 2 of the Memorandum, or

(iv) completed the medium term expenditure framework (MTEF) for the priority sectors of education, health, and roads by June 30, 1998, as described and specified in paragraph 16 and Table 2 of the Memorandum, or

(c) if the General Government or the Bank of Ghana has accumulated new external payments arrears as specified in paragraph 24 of the Memorandum; or

(d) if the Republic of Ghana:

(i) has imposed or intensified restrictions on payments and transfers for current international transactions, or

(ii) has introduced or modified multiple currency practices, or

(iii) has concluded bilateral payments agreements that are inconsistent with Article VIII, or

(iv) has imposed or intensified import restrictions for balance of payments reasons; or

(e) until the Fund has determined that the mid-term review of the Republic of Ghana's program referred to in paragraph 5 of the Letter has been completed.

If the Managing Director finds that any of the performance clauses that have been established in or under this paragraph 2 have not been met, the second loan specified in paragraph 1 (a)(ii) above may be made available only after consultation has taken place between the Fund and the Republic of Ghana, and understandings have been reached regarding the circumstances in which the Republic of Ghana may request the disbursement of that second loan.

3. Before approving the third annual arrangement, the Fund will appraise the progress of the Republic of Ghana in implementing the policies and reaching the objectives of the program supported by the second annual arrangement, taking into account primarily:

(a) the macroeconomic indicators and the structural benchmarks specified in Tables 1 and 2 of the Memorandum;

(b) the imposition or intensification of restrictions on payments and transfers for current international transactions;

(c) the introduction or modification of multiple currency practices;

(d) the conclusion of bilateral payments agreements that are inconsistent with Article VIII; and

(e) the imposition or intensification of import restrictions for balance of payments reasons.

4. In accordance with paragraph 3 of the Letter, the Republic of Ghana will provide the Fund with such information as the Fund requests in connection with the progress of the Republic of Ghana in implementing the policies and reaching the objectives supported by this arrangement.

5. In accordance with paragraph 4 of the Letter, during the period of the second annual arrangement, the Republic of Ghana will consult with the Managing Director on the adoption of any measures that may be appropriate at the initiative of the Government or whenever the Managing Director requests such a consultation. Moreover, after the period of the second annual arrangement and while the Republic of Ghana has outstanding financial obligations to the Fund arising from loans under that arrangement, the Republic of Ghana will consult with the Fund from time to time, at the initiative of the Government or whenever the Managing Director requests consultations on the Republic of Ghana's economic and financial policies. These consultations may include correspondence and visits of officials of the Fund to the Republic of Ghana or of representatives of the Republic of Ghana to the Fund.

March 9, 1998

Dear Mr. Camdessus:

1. The objectives of Ghana's program of economic and financial adjustment for the three-year period 1998-2000 are set out in the updated policy framework paper prepared in close collaboration with the staffs of the Fund and the World Bank, which was transmitted to you on March 9, 1998.

2. The attached memorandum of economic and financial policies of Ghana, based on the policy framework paper referred to above, sets out the objectives and policies that the Government of Ghana intends to pursue during 1998. In support of these objectives and policies, the Government hereby requests the second annual arrangement under the enhanced structural adjustment facility (ESAF) in an amount equivalent to SDR 82.2 million (30 percent of quota). The amount represents an increase of SDR 27.4 million (10 percentage points of quota) over the amount originally approved for the second annual arrangement. This increase is requested in light of Ghana's balance of payments need for the program period. The government hereby also requests the extension of the commitment period of the three-year arrangement for Ghana to June 29, 1999.

3. The Government of Ghana will provide the Fund with such information as the Fund requests in connection with the progress made in implementing the economic and financial policies and achieving the objectives of the program.

4. The Government of Ghana believes that the policies and measures set out in the attached memorandum are adequate to achieve the objectives of its program; it will take any further measures that may become appropriate for this purpose. During the period of the second annual ESAF arrangement, the Government will consult with the Managing Director on the adoption of any measures that could be appropriate, at the initiative of the Government or whenever the Managing Director requests such a consultation. Moreover, after the period of the second annual ESAF arrangement and while Ghana has outstanding financial obligations to the Fund arising from loans under the arrangement, the Government will consult with the Fund from time to time, at the initiative of the Government or whenever the Managing Director requests consultation on Ghana's economic and financial policies.

5. The Government of Ghana will conduct with the Fund a midterm review of its program supported by the second annual arrangement not later than September 30, 1998.

Sincerely yours,

/s/

Kwame Peprah
Minister of Finance

Attachment

Mr. Michel Camdessus
Managing Director
International Monetary Fund
Washington, D.C. 20431
U.S.A.

**Memorandum of Economic and Financial Policies of the Government of Ghana for 1998**

## I. INTRODUCTION AND BACKGROUND

1. This memorandum provides an overview of Ghana's recent performance under the economic program being supported by a second three-year arrangement under the Fund's enhanced structural adjustment facility (ESAF). The memorandum describes the important policy changes introduced in 1997 and the government's program for 1998. It also presents financial and structural benchmarks that are intended to guide and monitor policy implementation.

2. Under its economic recovery program launched in 1983, Ghana made significant progress in the area of structural reforms, but financial stability has remained elusive and private sector saving and investment have remained weak. Consequently, the central objective of the government's renewed adjustment effort is to regain financial stability and create a public policy and regulatory environment in which private sector savings and investment can expand to underpin annual economic growth of well over the 5 percent recorded in recent years. As part of this effort, policies will be directed toward reducing inflation to a single-digit level by 1999.

3. The economic and financial outcome for 1996, in particular, reflected an unsustainable combination of financial policies, although a good agricultural harvest and bumper cocoa crop contributed to growth in real GDP of 5.2 percent and a decline in the 12-month rate of inflation from a peak of 71 percent at end-1995 to 33 percent at end-1996. However, financial imbalances deepened, and broad money growth remained high at 40 percent during 1996. The government's overall budget deficit (commitment basis, including grants and foreign-financed capital expenditure but excluding divestiture receipts) increased from 6.7 percent of GDP in 1995 to 10.4 percent in 1996, while the domestic primary surplus fell to almost zero. At the same time, the Bank of Ghana's net foreign assets fell well short of their target, as the Bank intervened to slow the depreciation of the cedi. As a result of these policies, the external current account deficit (including official transfers) widened from 2.3 percent of GDP in 1995 to 5 percent in 1996.

4. Implementation of the structural reform program in 1996 was mixed. There was progress in the divestiture of two state-owned banks and the telecommunications monopoly. Key measures to deregulate the petroleum sector were introduced in mid-1996, including the liberalization of crude oil imports and the adoption of a retail pricing mechanism that ensures full pass-through of import costs. However, when the formula called for a price increase in the wake of a steep rise in the international petroleum price, the pricing mechanism was not applied until the first quarter of 1997. Also, the sale of assets of the Ghana National

Petroleum Corporation (GNPC) did not progress, and several measures that would have contributed to better control of expenditure were not taken.

## II. The Adjustment Effort in 1997

5. The budget for 1997 initiated an important policy turnaround aimed at slowing inflation, regaining macroeconomic stability, and advancing the structural reform agenda. Not all goals set at the beginning of the year were attained, although a significant tightening of fiscal policy was effected, as evidenced by the increase in the government's domestic primary surplus from 0.3 percent of GDP in 1996 to an estimated 3.3 percent in 1997. Broad money growth in 1997 remained unchanged from 1996, at about 40 percent, and interest rates remained high. Aided by a further good harvest, the 12-month rate of inflation fell from 33 percent at end-1996 to an estimated 21 percent at end-1997. The fiscal tightening coincided with a decline in cocoa production from the bumper crop of 1996, contributing to a slowdown of economic growth below the initial projection of 5.5 percent, although real GDP per capita likely has not declined.

6. The fiscal adjustment in 1997 has been achieved entirely through expenditure restraint, as revenue fell by almost 2 percentage points of GDP under the influence of weaker final demand and reduced cocoa exports. Domestic noninterest expenditure declined by almost 5 percentage points of GDP in 1997, reflecting significant savings across all expenditure categories. The government resisted pressures for sizable wage increases, holding the increase in the wage bill to 22 percent, slightly more than anticipated in the budget (20 percent), but still implying a significant cut in real terms.

7. During 1997, the government embarked on a comprehensive overhaul of its expenditure monitoring and control system with assistance from the World Bank and other donors. As a first step, the government finalized the design of the new Budget and Public Expenditure Management System (BPEMS). Following a thorough review of the steps involved, the revamped system will be fully operational for the budget year 2000. Once implemented, the system will provide for cash limits on domestically financed development expenditure; better monitoring of expenditure commitments; quarterly budget reviews of spending agencies; and new procedures for contracting and procurement. In December 1997, the government issued an invitation for international bids for the procurement of BPEMS software. While a pilot implementation of BPEMS is being prepared, the monthly reporting of revenue, expenditure, and financing operations of the government has been made fully consistent and more timely.

8. On the revenue side, the government is implementing a tax reform with technical assistance from several multilateral and bilateral donors. The cornerstone of this reform is the replacement of the present sales and services taxes with a value added tax (VAT). The VAT law was adopted by Parliament in February 1998, and the tax is to take effect in December 1998. It will have a single rate of 10 percent, with limited exemptions and an effective refund

mechanism for exports. To avoid a repetition of the general public's confusion following the short-lived introduction of the VAT in 1995, the government has launched an intensive public information campaign. Consistent with the intended coverage of the VAT, and to raise additional revenue, the government extended the services tax in 1997 to cover a broad range of professional services. Furthermore, the tax on lotteries is now being collected, and a revised income tax assessment for self-employed taxpayers is being enforced. The tax audit program has been strengthened and the tax withholding authority of revenue agencies has been expanded.

9. As part of its tax reform program in 1997, the government also initiated a substantial cutback of tax and customs exemptions, aimed at increasing the overall buoyancy of the tax system. A government committee undertook a review of the legal basis of existing customs exemptions, and the withdrawal of unjustified exemptions has begun. The Minister of Finance was given sole authority to solicit the mandatory parliamentary approval for the granting of any tax and customs exemptions. To reduce opportunities for fraud and corruption at customs, a continuous systematic review of customs collections against inspection certificates has been initiated. Moreover, personnel management at customs has been tightened, providing, inter alia, for the regular rotation of officers. As part of a tariff rationalization in a regional context, the government introduced with the budget for 1998 legislation to move a number of previously zero-rated items to higher tariff rates. In this context, it proved necessary to introduce a new tariff rate of 5 percent, in addition to the existing rates of 10 percent and 25 percent. The government has also taken measures to eliminate the abuse of duty-free imports under ongoing public and donor-funded projects as well as by diplomatic missions, and to strengthen the monitoring of customs exemptions in general. These actions have already contributed to raising the effective import duty rate from 7.1 percent in 1996 to about 8 percent in 1997, resulting in import duties remaining unchanged at 2.6 percent of GDP in 1997 even though import volume was lower than projected.

10. In addition to pursuing stability-oriented financial policies, the government intensified its structural reform efforts in 1997. Incentives for cocoa farmers were improved through an increase in the share of the f.o.b. price of cocoa that accrues to farmers from 51 percent in the 1996/97 crop year to 54 percent in the present crop year.

11. Important reforms were also undertaken in the energy sector. The system of automatic price adjustments for petroleum products was reinstated with the adoption in February 1997 of a new ex-refinery pricing formula that, following revisions in late 1997, will be invoked every month. As part of this formula, an ad valorem tax of 15 percent has been added to the specific excises on petroleum products. In addition, the Ghana National Petroleum Corporation (GNPC), whose accounts for 1996 were recently audited, began to repay its long-standing debt to the Bank of Ghana in August 1997. Of the total of ₵128 billion, 65 billion had been repaid by end-1997, and the remainder will be repaid by end- June 1998. The government has also withdrawn its commitment to guarantee any nonconcessional borrowing by GNPC for the intended Tano Field Development and Power Project. These projects will now only proceed if significant private equity participation is secured. In

September 1997, the government created an independent Public Utilities Regulatory Commission, whose first task was to clear the way for a long-overdue increase in electricity tariffs. After extensive public hearings, the commission recommended a tariff increase for 1998 in two steps, involving increases in the weighted average electricity tariff of 89 percent in February 1998 and 10 percent in September 1998. The 89 percent increase already took effect, while the adequacy of the proposed September increase is under review.

12. The government's privatization program progressed in 1997, even though divestiture proceeds accruing to the budget remained short of the targeted amount. The government, in close collaboration with the World Bank, divested more than 20 small and medium-sized enterprises, but divestiture of some large enterprises has been slower than anticipated. After the flotation of 42 percent of the shares of the Ghana Commercial Bank (GCB) to the public, the sale of a further 30 percent to a strategic investor remains to be completed.

## III. The Program for 1998

13. The government's economic program for 1998, in support of which the second annual arrangement under the ESAF is requested, aims at consolidating the reforms begun in 1997. The necessary tight financial policies will be accompanied by sectoral and structural reforms designed to promote private sector activity and improve Ghana's growth prospects. Continuing the adjustment effort from 1997, broad money growth and the budget deficit will be reduced further in 1998, in line with the government's intention to reduce the inflation rate to near 10 percent by the end of the year.

### A. Financial Policies

14. The fiscal adjustment envisaged for 1998 is guided by the need to strengthen budgetary discipline and generate domestic primary surpluses that contribute to a reduction in domestic borrowing and interest rates, especially since the public sector has played a major role in crowding out private investment. Specifically, the domestic primary surplus is set to approach 4 percent of GDP, and the overall budget deficit to decline to below 7 percent of GDP.

15. The 1998 budget was built on the fiscal reforms begun in 1997, including the effective application of the VAT starting in December. The government will issue regulations for the implementation of the VAT by end-April 1998, and complete the assignment of unique taxpayer identification numbers to the targeted groups of taxpayers by end-June 1998. The import withholding tax will be applied, in accordance with the tax law, to importers not registered for the VAT. With the budget for 1998, the self-assessment of income tax by large taxpayers was launched. In addition to these measures, revenue collection in 1998 will benefit from the full-year effect of measures taken in 1997, in particular the extension of the services tax and the cutback in tax and customs exemptions. Specifically, the inclusion of additional services in the tax base is the main factor contributing to the increase in other indirect taxes of

0.2 percent of GDP in 1998. As a result of the cutbacks in customs exemptions and zero-rating, the effective import duty rate is expected to rise further to 8.6 percent, which contributes, along with the expected rebound in imports and cocoa exports, to the 0.6 percent of GDP increase in trade tax collections. However, despite the addition of a 15 percent ad valorem excise tax on petroleum products, petroleum taxes are expected to decline by about 0.2 of GDP in 1998 as a result of the fall in the world crude oil price. To improve tax and customs administration, a central revenue authority will be established by end-June 1998, with responsibility for administering the taxpayer identification number system, monitoring the collection and audit activities of the revenue agencies, and designing and implementing uniform personnel policies.

16. Expenditure on nonwage goods and services, along with capital expenditure, is set to increase in real terms, although the wage bill will be stabilized in real terms. While the BPEMS is being made operational, an improved system of cash management will permit monthly cash flow projections and monitoring of outturns, with the aim of managing the public sector borrowing requirement more efficiently. In addition, a revised budgetary classification, consistent with a new program-based chart of accounts, will be adopted by end-September 1998. Manual testing of the BPEMS will start in conjunction with the preparation of the 1999 budget. Expenditure priorities will be determined in a new rolling three-year Medium-Term Expenditure Framework (MTEF) that will be completed by end-June 1998. Initially, the MTEF will focus on the priority sectors of education, health, and roads, where it will be used in determining the budget ceilings for 1999.

17. Control of the money supply will provide the nominal anchor necessary to reduce inflation. Specifically, growth in broad money during 1998 will be limited to 18 percent. The exchange rate will be determined by market forces, with the Bank of Ghana (BOG) limiting its intervention to smoothing short-term fluctuations, while meeting the program target for net foreign assets. To enhance the effectiveness of monetary management, the BOG, with Fund technical assistance, will improve the functioning of primary and secondary markets of treasury bills, notably by introducing a centralized book-entry system and encouraging competition in the markets. After appropriate preparations, the instruments of liquidity management will be expanded to include repurchase agreements initiated by the BOG. Conscious of the importance of a sound banking system, and in the wake of the case of massive check fraud at the beginning of 1997, the BOG is strengthening its banking supervision, drawing on technical assistance from several donors and the Fund.

## B. Structural Reforms

18. In addition to fostering a low-inflation environment, the government will deepen structural reforms to encourage private investment and improve resource allocation. The government will offer for sale the GNPC's non-oil-related assets by end-March 1998, and the Tema Oil Refinery Ltd. and the Ghana Oil Company Ltd. by end-June 1998. For the latter two companies, the offer for sale will be accompanied by comprehensive prospectuses which are currently being prepared by international consultants and will be completed by end-June 1998.

Uniform national pump prices for petroleum products will be replaced by uniform ex-regional depot wholesale prices.

19. Incentives for cocoa farmers have improved somewhat over time through cost-cutting measures at the Cocoa Board and reductions in the effective tax rate on cocoa exports. Additional economies were realized with the opening up of domestic marketing to private traders. The government will identify by end-March 1998 significant further cost-cutting measures for the Cocoa Board to support future increases in the share of the farmers. The government will proceed with its already announced plan to sell the Produce Buying Company, a subsidiary of the Cocoa Board. In preparation, the extension services of the Ministry of Agriculture and the Cocoa Board will be unified by June 1998. The government will reassess options for eliminating the Cocoa Board's export monopoly, while safeguarding the quality of the cocoa crop.

20. The government is enhancing its capacity to implement economic reforms. The National Oversight Committee of the National Institutional Renewal Programme (NIRP) is consolidating job functions with a view to streamlining and down-sizing the public service. The government is negotiating with the social partners a comprehensive long-term wage policy, aimed at reforming the pay structure based on a detailed job evaluation across the entire public sector. An important part of this reform is the rationalization of the regulatory framework for subvented agencies announced in the budget for 1998. The rationalization encompasses plans and a timetable for (i) harmonizing by mid-1999 the existing laws governing subvented agencies; (ii) standardizing procedures for the conduct of the next round of wage negotiations; and (iii) conducting during 1998 a review of activities and staffing levels of the agencies with a view to making them more efficient and, where appropriate, incorporating them in the budget, closing them down, or commercializing them prior to privatization.

21. The government recognizes that the recent electricity tariff increases approved by the Public Utilities Regulatory Commission were only a first step toward economic rates, and will still result in operating deficits for the power utilities in 1998. The government is in the process of formulating a plan to cover these deficits, and this plan will be agreed with the World Bank and other partners. In this process, the government will determine the stocks of arrears as of end-December 1997 among power utilities, and between power utilities and the government, identifying separately arrears related to loans guaranteed by the government. Based on this information, the government will recommend to the Commission a schedule for electricity tariff increases that move to full economic rates by end-1999 and are sufficient to ensure clearance of arrears incurred after January 1, 1998. As part of this schedule, the Commission will be requested over the coming weeks to consider a 35 percent increase in the weighted average electricity tariff to take effect before end-September 1998, instead of the 10 percent increase already announced by the Commission. Finally, the government will also develop a plan for the elimination by end-1999 of the arrears outstanding at end-December 1997.

22. During 1998, the government will continue its privatization program with the divestiture of at least two large and an additional 20 small- and medium-sized enterprises. The government is aware of the need to send a strong signal to the economy that it is prepared to relinquish areas where the private sector can operate more efficiently.

23. The government recognizes the need to quickly alleviate data deficiencies, and, to that end, is seeking technical assistance, including from the Fund. The government is undertaking important steps to improve the quality and timeliness of external trade and public finance data. Following technical assistance from the Fund in July 1997, the Bank of Ghana is implementing the agreed action plan to improve monetary data. The Ghana Statistical Service (GSS) has begun publishing a new national consumer price index (with at most two months' lag) and monthly export and import statistics compiled on the basis of the Harmonised System. During 1998, the GSS will publish comprehensive national accounts statistics for 1995 and 1996.

### C. External Sector

24. Ghana's external situation is vulnerable. The current account deficit (including official transfers) is estimated to have declined from about 5 percent of GDP in 1996 to less than 4 percent in 1997. Meanwhile, the external debt service ratio is expected to have increased from 27 percent in 1996 to 33 percent in 1997, reflecting the impact of large nonconcessional borrowing in 1996.

25. The government has recently concluded bilateral agreements with two of the three Paris Club creditors who had granted in April 1996 the deferral of arrears related to a few specific pre-1983 debts. The government will continue its efforts to conclude an agreement with the one remaining creditor country. In order to reduce the debt service burden, the government undertakes to strictly adhere to the moratorium on new nonconcessional borrowing declared in August 1997; it also undertakes not to incur any external payments arrears, nor to introduce any import restrictions for balance of payments purposes.

26. Ghana's exports are projected to increase by about 13 percent in 1998, owing mainly to a recovery in cocoa exports, and notwithstanding the expected weakness in the international gold price. The current account deficit is projected to remain at around 4 percent of GDP. External financing requirements for 1998 are expected to be covered by the concessional assistance pledged by donors at the Consultative Group meeting held in November 1997. With strict adherence to the financial policies envisaged in the program, and to the moratorium on nonconcessional borrowing, Ghana should not have any difficulty in meeting its external debt service obligations including those to the Fund.

27. The government has started to take steps to strengthen its debt monitoring system. In particular, the domestic on-lending and repayment of government-guaranteed donor funds will be more tightly controlled. The government will also improve the process of donor coordination, following on the commitments made during the recent Consultative Group meeting.

## IV. PROGRAM MONITORING

28. Performance under the program will be monitored on the basis of the quantitative performance criteria and benchmarks shown in Table 1, relating to: (a) domestic primary balance of the government budget; (b) government revenue; (c) net domestic financing of the government budget; (d) reserve money; (e) net foreign assets of the Bank of Ghana; (f) new nonconcessional external borrowing; and (g) the stock of external short-term debt. The nonaccumulation of external payments arrears will also constitute a performance criterion, applying on a continuous basis. Structural performance criteria and benchmarks are shown in Table 2.

29. During the period of the second annual ESAF arrangement, the government will not, without Fund approval, introduce new or intensify existing exchange restrictions, nor introduce or modify any multiple currency practice, or introduce import restrictions for balance of payments reasons.

30. In order to ensure effective monitoring of the program, the government will make available to Fund staff all core data on a timely basis.

Table 1. Ghana: Quantitative Performance Criteria and Benchmarks Under the Second Annual ESAF Arrangement, 1998
(End of month indicated)

| | 1997 | 1998 | | | |
|---|---|---|---|---|---|
| | December | March | June | September | December |
| | Provisional | Bench-marks | Performance Criteria | Indicative Benchmarks | |
| | | (In billions of cedis) | | | |
| Government domestic primary surplus (floor) 1/ 2/ | 458 | 155 | 287 | 493 | 666 |
| Government revenue excluding grants and divestiture proceeds (floor) 2/ 3/ | 2,447 | 664 | 1,438 | 2,257 | 3,236 |
| Net domestic financing of the government budget (ceiling) 2/ 4/ | 728 | 126 | 315 | 327 | 552 |
| Reserve money (ceiling) 5/ | 1,203 | 1,157 | 1,125 | 1,099 | 1,408 |
| | | (In millions of U.S. dollars) | | | |
| Net foreign assets of the Bank of Ghana (floor) | 41 | -25 | -75 | -83 | 81 |
| New nonconcessional external loans contracted or guaranteed by the Government or the Bank of Ghana (1-15 year maturity) (ceiling) 2/ 6/ | 85 | 0 | 0 | 0 | 0 |
| Short-term external debt outstanding contracted or guaranteed by the Government or the Bank of Ghana (with an initial maturity of less than one year) (ceiling) 7/ | 40 | 40 | 40 | 40 | 40 |
| Memorandum item: | | | | | |
| Net change in government payment arrears 2/ | -84 | -48 | -48 | -48 | -48 |

1/ The domestic primary balance is defined as the difference between total revenue (excluding grants and divestiture proceeds) and noninterest domestic expenditure (excluding foreign-financed capital expenditure).
2/ Cumulative from beginning of calendar year.
3/ Does not constitute a performance criterion (for June 1998).
4/ The ceiling will be adjusted upward/downward to the extent that the cumulative net reduction in government payments arrears is higher/lower than programmed (see memorandum item).
5/ To be adjusted downward to the extent of any reduction in, or shortfall in compliance with, the legal reserve requirement (8 percent of bank deposits).
6/ External loans contracted or guaranteed other than those with a grant element equivalent to 35 percent or more, calculated using a discount rate based on OECD commercial interest reference rates.
7/ Excluding normal import-related credits.

Table 2. Ghana: Structural Performance Criteria and Benchmarks
Under the Second Annual ESAF Arrangement, 1998

| | Actions | Timing (End of month indicated) |
|---|---|---|
| A. | Cocoa sector | |
| | - Identify significant cost-cutting measures for the Cocoa Board. | March |
| | - Raise producers' share in the f.o.b. cocoa price for the 1998/99 crop year to at least 56 percent. | June |
| | - Offer for sale the Produce Buying Company (PBC). | June |
| | - Unify extension services of the Cocoa Board and the Ministry of Agriculture. | June |
| B. | Energy Sector | |
| | - Offer for sale GNPC's non-oil-related assets. | March |
| | - Replace uniform national pump prices with uniform ex-regional depot wholesale prices. | March |
| | - Reduce GNPC's debt to the Bank of Ghana to | |
| | - ₵18 billion | March |
| | - zero* | June |
| | - Offer for sale Tema Oil Refinery Ltd. and the Ghana Oil Company Ltd.* | June |
| | - Determine the stock of arrears as of end-December 1997 among power utilities, and between power utilities and the government, identifying separately arrears related to loans guaranteed by the government. Develop a plan for elimination of these pre-1998 arrears by end-1999. | May |
| | - Recommend to the Public Utilities Regulatory Commission a schedule for electricity tariff increases that move to full economic rates by end-1999 and are sufficient to ensure clearance of arrears incurred after January 1, 1998. | July |
| | - Increase weighted average electricity tariff by at least 35 percent. | September |
| C. | Expenditure control and budget monitoring | |
| | - Begin monthly projection of cash flow for the budget and monitor outturns as the basis for managing the public sector borrowing requirement. | March |
| | - Complete medium-term expenditure framework (MTEF) for priority sectors of education, health, and roads.* | June |
| | - Cabinet approval of budget ceilings for priority sectors and of the guidelines for the 1999 budget. | September |
| D. | Tax system | |
| | - Issue regulations for the VAT. | April |
| | - Establish a central revenue authority.* | June |
| | - Complete the assignment of taxpayer identification numbers to the targeted groups of taxpayers. | June |
| E. | Liquidity management | |
| | - Introduce a centralized book-entry system at the Bank of Ghana. | June |
| | - Expand instruments of liquidity management to include repurchase agreements initiated by the Bank of Ghana. | June |
| F. | Public service reform | |
| | - Identify subvented agencies to be reincorporated into the the budget, privatized or closed. | September |
| G. | Statistical issues | |
| | - Publish revised and updated national accounts (sources and uses) for 1995 and 1996. | May |

* Performance criterion.

**Ghana—Relations with the Fund**
(As of January 31, 1998)

**Membership Status** Joined 9/20/57; Article VIII

| **General Resources Account** | SDR Million | % Quota |
|---|---|---|
| Quota | 274.00 | 100.0 |
| Fund holdings of currency | 275.32 | 100.5 |
| Reserve position in Fund | 17.38 | 6.3 |

| **SDR Department** | SDR Million | % Allocation |
|---|---|---|
| Net cumulative allocation | 62.98 | 100.0 |
| Holdings | 1.86 | 3.0 |

| **Outstanding Purchases and Loans** | SDR Million | % Quota |
|---|---|---|
| Extended arrangements | 6.94 | 2.5 |
| Contingency and Compensatory | 11.75 | 4.3 |
| ESAF arrangements | 232.42 | 84.8 |

**Financial Arrangements**

| Type | Approval Date | Expira- tion Date | Amount Approved (SDR Million) | Amount Drawn (SDR Million) |
|---|---|---|---|---|
| ESAF | 6/30/95 | 6/29/98 | 164.40 | 54.80 |
| ESAF | 11/09/88 | 3/05/92 | 388.55 | 388.55 |
| SAF | 11/11/87 | 11/09/88 | 129.86 | 40.90 |

**Projected Obligations to Fund**[1] (SDR Million; based on existing use of resources and present holdings of SDRs):

| | Overdue | Forthcoming | | | | |
|---|---|---|---|---|---|---|
| | 1/31/98 | 1998 | 1999 | 2000 | 2001 | 2002 |
| Principal | 0.0 | 96.4 | 55.4 | 28.1 | 24.7 | 11.0 |
| Charges/Interest | 0.0 | 4.2 | 3.2 | 3.0 | 2.9 | 2.8 |
| Total | 0.0 | 100.6 | 58.6 | 31.1 | 27.6 | 13.8 |

[1]The projection of charges and interest assumes that overdue principal at the report date (if any) will remain outstanding, but that forthcoming obligations will be settled on time.

**Exchange Rate Arrangement**

Ghana maintains a flexible exchange rate system, using the U.S. dollar as the intervention currency. The exchange rate in the interbank market at end-December 1997 was ₵ 2,233 per U.S. dollar for buying and ₵ 2,267 per U.S. dollar for selling, while the average bureau buying rate was ₵ 2,261 per U.S. dollar and the average selling rate was ₵ 2,287 per U.S. dollar.

Ghana has liberalized the making of payments and transfers for current international transactions, and with effect from February 21, 1994, has accepted the obligations of Article VIII, Sections 2, 3, and 4.

**Article IV Consultations**

The 1997 Article IV consultation (staff report SM/97/259) was concluded by the Executive Board on October 31, 1997. Ghana is on the standard 12-month cycle for Article IV consultations.

**Technical Assistance, 1994-97**

Statistics Department: Fund staff member seconded to the Bank of Ghana as financial statistics advisor during April 1991-April 1994. Money and banking statistics mission, July 1997.

Monetary and Exchange Affairs Department: Bank of Ghana and Ministry of Finance (instruments of monetary control), March 1994; Bank of Ghana (monetary policy and foreign exchange operations), March-April 1994; and Bank of Ghana (monetary policy design and institutions), November 1996, February 1997, and August 1997. A resident expert in banking supervision has been in office since December 1997.

Fiscal Affairs Department: Ministry of Finance (expenditure control), July 1996; Ministry of Finance (public expenditure management), June-July 1996; and Ministry of Finance (VAT and customs), November 1996.

Bureau of Computing Services: Bank of Ghana (review of information technology), November 1996.

**Resident representative**

A Fund resident representative has been stationed in Accra since June 1985. Mr. Harnack has been the Fund representative since February 1996.

## Ghana: External Debt Sustainability Analysis

### Background

1. Ghana is one of the heavily indebted poor countries (HIPC), and the last debt sustainability analysis (DSA) was presented to the Board at the time of the 1996 Article IV consultation (EBS/96/98, 6/7/96). According to the results, Ghana's debt was deemed to be sustainable, without rescheduling, over a projected 20-year period. Since the beginning of the Economic Recovery Program in 1983, Ghana has not rescheduled its external debt, except for terms-of-reference rescheduling agreements in April 1996, which deferred on nonconcessional terms limited amounts of arrears on specific pre-1983 debts to Brazil, Italy, and Norway. Thus, in the absence of demonstrated need for traditional debt-relief mechanisms, Ghana does not seem to require assistance under the HIPC Initiative.

### Update of the debt sustainability analysis

2. The DSA was updated in the context of the proposed second annual ESAF arrangement, in collaboration with the authorities and the World Bank staff, who are in agreement with the results of this exercise.[1] The results of the current DSA suggest that Ghana's debt burden, although still sustainable over the medium term, has increased and its debt indicators have thus deteriorated somewhat since the last DSA. The worsening of the debt indicators is due to a confluence of factors: (i) the government's recourse to nonconcessional borrowing to finance hospital projects and expand and upgrade the Tema Oil Refinery in 1996 and 1997 in breach of the indicative ceilings on such loans; (ii) a lower discount rate; (iii) a downward revision of projected exports; and (iv) better coverage of the debt stock than was available at the time of the previous analysis. The assessment indicates that, by refraining from nonconcessional borrowing as envisaged in the proposed program and by strictly adhering to tight financial policies, Ghana's main debt indicators—the ratio of the net present value of debt to exports and the debt-service ratio—will fall without any rescheduling below the threshold levels of 200 percent and 20 percent by 2000 and 2002, respectively.

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[1]In deriving the results, a three-year average of exports of goods and nonfactor services—excluding workers' remittances—was used as the denominator for the ratio of the net present value of debt to exports, and a prorated net present value of debt disbursed and outstanding was calculated. An aggregated discount rate of 6.4 percent—the weighted average of the currency-specific commercial interest reference rates—was employed. The weights used were the currency composition of Ghana's external debt. Data for external debt were obtained from the World Bank's Debtor Reporting System, to which adjustments were made to reflect more recent information.

**Composition of external debt and debt-management strategy**

3. At end-1996, the nominal value of Ghana's total external public debt stock was approximately US$6.2 billion, which was equivalent to about 97 percent of 1996 GDP. The ratio of the net present value of debt to exports of goods and nonfactor services was 237 percent. Almost 75 percent of the debt was owed to multilateral creditors (including the IMF). Nearly 70 percent of Ghana's external debt is on concessional terms. Its nonconcessional debt was owed mainly to the African Development Bank, the International Fund for Agricultural Development, and—to a lesser extent—the World Bank. Approximately 24 percent of the debt was owed to bilateral creditors, mainly Paris Club creditors.

4. Debt-service obligations in 1996 were equivalent to almost 27 percent of exports of goods and nonfactor services of the same year. Approximately 65 percent of this amount was owed to multilateral institutions, including 29 percent owed to the IMF.

5. The Ghanaian authorities imposed in August 1997 an injunction against non-concessional borrowing for an indefinite period; accordingly, they intend to pursue a debt-management strategy of meeting external financing needs that will rely on concessional terms from multilateral and bilateral sources. Ghana intends to remain current on the payment of its external obligations, including those to the Fund, and has no intention of seeking rescheduling of its debt-service payments.

**Main results of the baseline scenario**

6. The debt-service ratio in 1997 was estimated to have been about 33 percent, mainly because of the nonconcessional borrowing in 1996 and early 1997, and the ratio of the net present value of debt to exports of goods and services was approximately 225 percent. These indicators are projected to decline to 19 percent in 2002 and 187 percent in 2000, respectively (Appendix III, Table 1).

7. The **main assumption** underlying the baseline scenario is that real GDP growth will average nearly 6 percent during 1997–2006, and gradually increase thereafter to just over 7 percent for the rest of the projection period. This trend of GDP growth is predicated on the continuance of prudent financial policies and structural reforms that will enhance savings and investment, and increase the role of the private sector, particularly in agriculture, mining, and services. The volume of exports is projected to grow on average by 6 percent during 1997–2006. The volume of imports is projected to grow on average by nearly 8 percent annually over 1997–2006 and by 8.5 percent thereafter, owing to an increase in the demand for capital goods. These assumptions imply that the current account deficit (excluding official transfers) would narrow slowly to about 4 percent of GDP by the end of the projection period. Gross international reserves would remain equivalent to three–four months of imports (Appendix III, Table 2).

8. New lending from IDA and other multilateral organizations is assumed to be about US$340 million (4.5 percent of GDP) on average annually during 1998–2002 but decline thereafter to about US$290 million (3 percent of GDP). Official grants are projected to remain on average at about US$150 million (2 percent of GDP) during 1998–2002 and then decrease to about US$100 million (less than 1 percent of GDP) during the 2002–2016 period. This decline in grants is projected to be offset by an increase in private financing in the form of direct investment as the benefits of structural adjustment take hold.

**Sensitivity analysis**

9. Some alternative scenarios were examined in order to assess the sensitivity of Ghana's debt indicators to external shocks (Appendix III, Table 3). In Scenario 2, concessional aid flows are reduced by 10 percent throughout the projection period (1998–2016), with the shortfall being met by recourse to nonconcessional financing, while the reserves target remains unchanged from the baseline scenario. Results of this analysis show that, compared with the baseline scenario, the ratio of the net present value of debt to exports would rise on average by 5 percentage points during 1998–2002. The debt-service ratio would also increase by a little less than 1 percentage point over the same period and, as a result, fall below the threshold level of 20 percent only in 2003.

10. Scenario 3 assumes that export earnings will be 5 percent lower from 1998 onward and that one-half of the shortfall will be met by borrowing on commercial terms, with the rest of the shortfall eliminated by a drawdown of reserves. Under this scenario, the ratio of the net present value of debt to exports would fall below the threshold of 200 percent in 2001, although the average ratio for the period 1998-2002 would be 15 percentage points higher than under the baseline scenario. The debt-service ratio would on average be 1.5 percentage points higher and fall below the threshold of 20 percent in 2003.

11. Scenario 4 assumes once again that export earnings will be 5 percent lower from 1998 onward but that the shortfall will be met entirely by nonconcessional borrowing. Under this scenario, the ratio of the net present value of debt to exports would fall below the threshold of 200 percent in 2001, although the average ratio for the period 1998-2002 would be 20 percentage points higher than under the baseline scenario. The debt-service ratio would on average be 2.1 percentage points higher and pass the threshold of 20 percent in 2004.

**Conclusions**

12. The results of the updated DSA for Ghana reveal that its debt burden is sustainable in the long run, provided that Ghana perseveres with its structural adjustment program. The country's external debt position is relatively robust in the face of a variety of adverse external shocks. However, Ghana will need to rely on substantial concessional assistance for some years to come in order to support its reform efforts. In light of this analysis and in the absence of a demonstrated need for traditional debt-relief mechanisms, Ghana does not seem to require assistance under the HIPC Initiative.

Table 1. Ghana: Long-term Debt and Debt Service Projections, 1995-2016

| | 1996 | 1997 Est. | 1998 | 1999 | 2000 | 2001 | 2002 | 2003 | 2004 | 2005 | 2006 | 2007-11 Avg. | 2012-16 Avg. |
|---|---|---|---|---|---|---|---|---|---|---|---|---|---|
| | | | Projections | | | | | | | | | | |
| (In millions of U.S. dollars) | | | | | | | | | | | | | |
| Total debt stock | 6,174 | 6,324 | 6,605 | 6,796 | 6,908 | 6,967 | 6,925 | 6,972 | 7,095 | 7,229 | 7,395 | 7,906 | 8,611 |
| Net present value (NPV) 1/ | 3,713 | 3,733 | 3,812 | 3,850 | 3,868 | 3,870 | 3,810 | 3,806 | 3,837 | 3,885 | 3,971 | 4,256 | 4,839 |
| Total debt service | 473 | 551 | 607 | 600 | 532 | 515 | 492 | 370 | 399 | 383 | 349 | 184 | 243 |
| Debt service | | 551 | 590 | 542 | 449 | 412 | 371 | 235 | 229 | 216 | 177 | | |
| Amortization 2/ | | 424 | 466 | 422 | 364 | 335 | 292 | 183 | 182 | 175 | 140 | 133 | 128 |
| *Of which* | | | | | | | | | | | | | |
| Multilateral | | 294 | 307 | 239 | 185 | 178 | 142 | 94 | 100 | 97 | 92 | 88 | 86 |
| Bilateral | | 87 | 111 | 126 | 121 | 108 | 104 | 65 | 64 | 60 | 39 | 38 | 36 |
| *Of which* | | | | | | | | | | | | | |
| Paris Club | | 73 | 98 | 114 | 110 | 99 | 95 | 59 | 60 | 58 | 37 | 37 | 35 |
| Interest payments 2/ | | 127 | 124 | 120 | 84 | 77 | 79 | 52 | 47 | 41 | 37 | 28 | 18 |
| *Of which* | | | | | | | | | | | | | |
| Multilateral | | 55 | 53 | 51 | 36 | 37 | 39 | 25 | 26 | 23 | 22 | 18 | 13 |
| Bilateral | | 67 | 65 | 65 | 46 | 39 | 39 | 27 | 21 | 18 | 15 | 10 | 5 |
| *Of which* | | | | | | | | | | | | | |
| Paris Club | | 58 | 57 | 57 | 40 | 35 | 35 | 23 | 20 | 18 | 15 | 10 | 5 |
| Debt service on new borrowing | | 0 | 17 | 58 | 83 | 103 | 121 | 135 | 170 | 167 | 172 | 184 | 243 |
| Amortization | | 0 | 0 | 28 | 42 | 54 | 66 | 78 | 111 | 106 | 109 | 112 | 154 |
| Interest payments | | 0 | 17 | 30 | 41 | 49 | 55 | 57 | 59 | 61 | 63 | 72 | 89 |
| (In percent of GDP) | | | | | | | | | | | | | |
| Memorandum items: | | | | | | | | | | | | | |
| Total debt stock | 97.3 | 93.6 | 95.2 | 92.0 | 87.7 | 82.2 | 75.8 | 68.7 | 64.0 | 59.7 | 55.7 | 45.4 | 30.8 |
| Total debt stock (NPV) 1/ | 58.5 | 55.3 | 54.9 | 52.1 | 49.1 | 45.6 | 41.7 | 37.5 | 34.6 | 32.1 | 29.9 | 24.5 | 17.2 |
| Total debt service | 7.5 | 8.2 | 8.7 | 8.1 | 6.7 | 6.1 | 5.4 | 3.6 | 3.6 | 3.2 | 2.6 | 2.0 | 1.4 |
| Ratio to exports 3/ | | | | | | | | | | | | | |
| Total debt stock | 394.7 | 380.8 | 378.6 | 365.3 | 333.4 | 299.3 | 268.5 | 245.8 | 229.5 | 214.0 | 199.5 | 159.7 | 104.5 |
| Total debt stock (NPV) 1/ | 237.3 | 224.8 | 218.5 | 207.0 | 186.7 | 166.2 | 147.7 | 134.2 | 124.1 | 115.0 | 107.2 | 85.9 | 58.6 |
| Total debt service | 27.4 | 32.9 | 33.2 | 28.9 | 23.4 | 20.8 | 18.6 | 13.0 | 12.9 | 11.3 | 9.4 | 7.0 | 4.7 |

Sources: Ghanaian authorities; World Bank; and Fund staff estimates.

1/ On the basis of a discount factor of 6.4 percent, reflecting the commercial interest reference rates weighted by the currency composition of Ghana's external debt.

2/ On existing contracted debt.

3/ Exports of goods and nonfactor services.

Table 2. Ghana: Long Term Balance of Payments: Baseline Scenario, 1996-2016

| | 1996 | 1997 | 1998 | 1999 | 2000 | 2001 | 2002 | 2003 | 2004 | 2005 | 2006 | 2007-11 | 2012-16 |
|---|---|---|---|---|---|---|---|---|---|---|---|---|---|
| | | Est. | Projections | | | | | | | | | Average | |
| | (In millions of U.S. dollars, unless otherwise specified) | | | | | | | | | | | | |
| Exports, f.o.b. | 1,571 | 1,511 | 1,658 | 1,895 | 2,086 | 2,272 | 2,444 | 2,859 | 3,137 | 3,450 | 3,811 | 5,264 | 8,953 |
| Cocoa beans and cocoa products | 552 | 491 | 536 | 583 | 631 | 673 | 718 | 753 | 795 | 835 | 877 | 984 | 1,149 |
| Imports, f.o.b. | -1,932 | -1,805 | -1,982 | -2,165 | -2,303 | -2,427 | -2,589 | -2,987 | -3,269 | -3,589 | -3,958 | -5,345 | -9,000 |
| Non-oil | -1,679 | -1,534 | -1,695 | -1,835 | -1,955 | -2,054 | -2,189 | -2,578 | -2,834 | -3,125 | -3,461 | -4,719 | -8,027 |
| Oil | -253 | -272 | -286 | -330 | -348 | -373 | -400 | -409 | -435 | -464 | -497 | -626 | -973 |
| Trade balance | -361 | -295 | -324 | -270 | -217 | -155 | -145 | -128 | -132 | -139 | -147 | -81 | -47 |
| Services (net) | -441 | -437 | -492 | -529 | -525 | -573 | -615 | -628 | -662 | -698 | -735 | -909 | -1,302 |
| *Of which* | | | | | | | | | | | | | |
| Interest payments | -151 | -154 | -169 | -149 | -124 | -145 | -160 | -140 | -145 | -150 | -155 | -170 | -195 |
| Private transfers (net) | 276 | 296 | 311 | 314 | 318 | 321 | 324 | 380 | 395 | 410 | 425 | 440 | 509 |
| Current account balance, excluding official transfers | -525 | -435 | -505 | -484 | -424 | -407 | -436 | -376 | -399 | -427 | -457 | -550 | -840 |
| Official transfers (net) | 206 | 216 | 215 | 198 | 129 | 132 | 137 | 100 | 100 | 100 | 100 | 100 | 100 |
| Current account balance, including official transfers | -320 | -220 | -290 | -287 | -295 | -275 | -299 | -276 | -299 | -327 | -357 | -450 | -740 |
| Capital account | 279 | 247 | 330 | 311 | 414 | 442 | 392 | 490 | 533 | 566 | 599 | 679 | 896 |
| Official capital (net) | 358 | 274 | 251 | 117 | 132 | 135 | 72 | 135 | 168 | 191 | 214 | 246 | 284 |
| Long-term loans | 309 | 281 | 363 | 293 | 302 | 295 | 247 | 250 | 253 | 256 | 259 | 267 | 276 |
| Inflows | 386 | 367 | 493 | 415 | 430 | 420 | 380 | 380 | 380 | 380 | 380 | 380 | 380 |
| Amortization | -77 | -86 | -130 | -122 | -128 | -125 | -133 | -130 | -127 | -124 | -121 | -113 | -104 |
| Medium-term loans | 49 | -7 | -112 | -177 | -170 | -160 | -175 | -115 | -85 | -65 | -45 | -21 | 8 |
| Inflows | 175 | 165 | 86 | 76 | 70 | 70 | 35 | 35 | 35 | 35 | 35 | 35 | 35 |
| Amortization | -127 | -172 | -198 | -252 | -240 | -230 | -210 | -150 | -120 | -100 | -80 | -56 | -27 |
| Private capital | 70 | 55 | 79 | 195 | 282 | 307 | 320 | 355 | 365 | 375 | 385 | 433 | 612 |
| Direct investment including divestiture | 120 | 82 | 145 | 217 | 282 | 307 | 320 | 305 | 315 | 325 | 335 | 383 | 562 |
| Other | -50 | -27 | -66 | -22 | 0 | 0 | 0 | 0 | 0 | 0 | 0 | 0 | 0 |
| Short-term capital | -149 | -82 | 0 | 0 | 0 | 0 | 0 | 0 | 0 | 0 | 0 | 0 | 0 |
| Net errors and omissions | 28 | -2 | 0 | 0 | 0 | 0 | 0 | 0 | 0 | 0 | 0 | 0 | 0 |
| Overall balance | -13 | 25 | 40 | 25 | 119 | 166 | 93 | 164 | 184 | 189 | 192 | 179 | 106 |
| Change in arrears | -100 | 0 | 0 | 0 | 0 | 0 | 0 | 0 | 0 | 0 | 0 | 0 | 0 |
| Financing | 113 | -25 | -40 | -25 | -119 | -166 | -93 | -164 | -184 | -189 | -192 | -179 | -106 |
| Debt deferral | 100 | 0 | 0 | 0 | 0 | 0 | 0 | 0 | 0 | 0 | 0 | 0 | 0 |
| Net foreign assets | 13 | -25 | -40 | -133 | -119 | -166 | -93 | -164 | -184 | -189 | -192 | -179 | -106 |
| Use of Fund credit | -86 | -166 | -27 | -38 | -38 | -34 | -15 | -21 | -39 | -45 | -34 | -12 | 0 |
| Other reserves (increase -) | 99 | 140 | -12 | -95 | -80 | -132 | -78 | -143 | -145 | -144 | -158 | -167 | -106 |
| Financing gap | 0 | 0 | 0 | 108 | 0 | 0 | 0 | 0 | 0 | 0 | 0 | 0 | 0 |
| Memorandum items: | | | | | | | | | | | | | |
| Current account deficit (in percent of GDP) | | | | | | | | | | | | | |
| Excluding official transfers | 8.3 | 6.4 | 7.3 | 6.6 | 5.4 | 4.8 | 4.8 | 3.7 | 3.6 | 3.5 | 3.4 | 3.1 | 3.0 |
| Including official transfers | 5.0 | 3.3 | 4.2 | 3.9 | 3.7 | 3.2 | 3.3 | 2.7 | 2.7 | 2.7 | 2.7 | 2.6 | 2.6 |

Sources: Bank of Ghana; and Fund staff estimates and projections.

Table 3. Ghana: Sensitivity Analysis for Long-Term External Debt Sustainability, 1996-2016 1/

| | 1996 | 1997 | 1998 | 1999 | 2000 | 2001 | 2002 | 2003 | 2004 | 2005 | 2006 | 2007/11 | 2012/16 |
|---|---|---|---|---|---|---|---|---|---|---|---|---|---|
| | | Est. | Projections | | | | | | | | | Avg. | Avg. |
| Baseline scenario | | | | | | | | | | | | | |
| Current account (in percent of GDP) (excluding official transfers) | 8.3 | 6.6 | 7.3 | 6.5 | 5.4 | 4.8 | 4.8 | 3.8 | 3.8 | 3.7 | 2.1 | 1.3 | 1.3 |
| Ratio of debt service to exports (in percent) | 27.4 | 32.9 | 33.2 | 28.9 | 23.4 | 20.8 | 18.6 | 16.2 | 14.2 | 12.3 | 9.7 | 6.4 | 4.2 |
| *Total debt (NPV)-exports ratio (in percent)* | 237 | *225* | *219* | *207* | *187* | *166* | *148* | *134* | *124* | *115* | *107* | *86* | *59* |
| Scenario 2: 10 percent less concessional financing 2/ | | | | | | | | | | | | | |
| Current account (in percent of GDP) (excluding official transfers) | 8.3 | 6.9 | 6.9 | 6.4 | 5.1 | 4.2 | 3.8 | 3.8 | 3.8 | 3.7 | 3.7 | 1.4 | 1.3 |
| Ratio of debt service to exports (in percent) | 27.4 | 32.9 | 33.2 | 29.1 | 24.2 | 22.0 | 20.2 | 17.9 | 16.0 | 14.1 | 11.2 | 7.3 | 4.8 |
| *Total debt (NPV)-exports ratio (in percent)* | 237 | 225 | 222 | *212* | *193* | *172* | *153* | *138* | *127* | *117* | *108* | *86* | *58* |
| Scenario 3: 5 percent less export earnings, financed by rundown of reserves and nonconcessional flows 3/ | | | | | | | | | | | | | |
| Current account (in percent of GDP) (excluding official transfers) | 8.3 | 6.9 | 8.2 | 7.6 | 6.5 | 5.6 | 5.3 | 5.3 | 5.2 | 5.2 | 5.2 | 3.5 | 4.3 |
| Ratio of debt service to exports (in percent) | 27.4 | 32.9 | 34.4 | 30.0 | 24.8 | 22.5 | 20.6 | 18.5 | 16.8 | 15.0 | 12.3 | 8.9 | 6.7 |
| *Total debt (NPV)-exports ratio (in percent)* | 237 | 225 | 225 | *219* | 203 | *183* | *164* | *150* | 140 | 131 | 122 | 101 | 72 |
| Scenario 4: 5 percent less export earnings, financed by nonconcessional flows 4/ | | | | | | | | | | | | | |
| Current account (in percent of GDP) (excluding official transfers) | 8.3 | 6.9 | 8.2 | 7.6 | 6.5 | 5.6 | 5.3 | 5.3 | 5.2 | 5.2 | 5.2 | 3.8 | 4.6 |
| Ratio of debt service to exports (in percent) | 27.4 | 32.9 | 34.4 | 30.1 | 25.4 | 23.4 | 22.0 | 20.2 | 18.7 | 17.1 | 14.5 | 11.0 | 8.9 |
| Total debt (NPV)-exports ratio (in percent) | 237 | 225 | 227 | 224 | *210* | *191* | *173* | *160* | *150* | *140* | 132 | 111 | 82 |

Sources: Ghanaian authorities; World Bank; and Fund staff estimates.

1/ All references to exports in the table represents three-year average of exports of goods and nonfactor services.

2/ Ten percent decline *in concessional financing; shortfall to be met by nonconcessional financing.*

3/ Five percent decline in export earnings; 50 percent of the shortfall to be met by fall in reserves, and the rest by nonconcessional financing.

4/ Five percent decline in export earnings; shortfall to be met by nonconcessionl financing.

Note: Terms of concessional financing are a repayment period of 23 years, a grace period of 10 years, and a rate of interest of 1.66 percent per annum; terms of nonconcessional financing are a repayment period of 6 years, a grace period of 1 year, and a rate of interest of 7.2 percent per annum.